Advanced Financial Accounting

An IFRS® Standards Approach, 3e

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Solutions Manual

Chapter 7

Group Reporting VI: Complex Consolidation Issues

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(1) Elimination and consolidation journal entries		
Eliminate Investment in B Ltd		
Dr Share capital	300000	
Dr Retained earnings	700000	
Dr Goodwill	750000	
Cr Investment in B		1250000
Cr Non-controlling interests		500000
	1750000	1750000
Eliminate Investment in C Ltd		
Dr Share capital	250000	
Dr Retained earnings	500000	
Dr Goodwill	300000	
Cr Investment in C		650000
Cr Non-controlling interests		400000
	1050000	1050000
Eliminate dividend from B		
Dr Dividend income	210000	
Dr Non-controlling interests	90000	
Cr Dividends declared (B)		300000
Eliminate dividend from C		
Dr Dividend income	300000	
Dr Non-controlling interests	200000	
Cr Dividends declared (C)		500000
Allocate prior year RE to NCI for B		
Dr Retained earnings	240000	
Cr NCI		240000
Retained earnings at 1.1.20x4	1500000	
Retained earnings at date of acquisition	700000	
Change in Retained earnings	800000	
NCI's share	30%	
Allocate prior year RE to NCI for C		
Dr Retained earnings	290000	
Cr NCI		290000
Retained earnings at 1.1.20x4	1000000	
Retained earnings at date of acquisition	500000	
Change in Retained earnings	500000	
Total NCI's share	58%	
Direct NCI	40%	
Indirect NCI	18.00%	

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Allocate current year's profit to B 's NCI		
Dr NCI (PL)	90000	
Cr NCI (BS)		90000
B 's profit after tax	600000	
Less dividend income	-300000	
B 's profit after tax (excl. div)	300000	
Direct NCI	30%	
Allocate current year's profit to C's NCI		
Dr NCI (PL)	2900000	
Cr NCI (BS)		2900000
C's profit after tax	5000000	
Direct NCI	40%	
Indirect NCI	18.00%	
Total NCI	58.00%	
(2) Calculation of non-controlling interests percentage		
D		
Direct NCI of D		10%
Indirect NCI (B 's NCI in D)	30%*60%*90%	16.200%
Indirect NCI (C's NCI in D)	40%*90%	36.00%
Total NCI		62.20%

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(1) Calculate the amounts of gross dividend income recorded by each investor co.							
Dividend income recorded by P							
- from X	40% x 40000		16,000				
-from Y	60% x 65000		39,000				
Dividend income recorded by Y							
from Z	80% x 50000		40,000				
(2) Consolidation and equity accounting entries							
Goodwill calculation							
Investee		X	Y	Z			
Investment		500,000	600,000	750,000			
Share capital		500,000	350,000	550,000			
Other reserves		350,000					
Retained earnings		400,000	355,000	330,000			
(at acquisition date)							
		1,250,000	705,000	880,000			
Non-controlling interests			Y	Z			
Direct NCI			40%	20%			
Indirect NCI				32%			
			40%	52%			
CJE1: Eliminate investment in Y							
Dr Share capital			350,000				
Dr Retained earnings			355,000				
Dr Goodwill			365,000				
Cr Investment in Y				600,000			
Cr Non-controlling interests				470,000			
			1,070,000	1,070,000			

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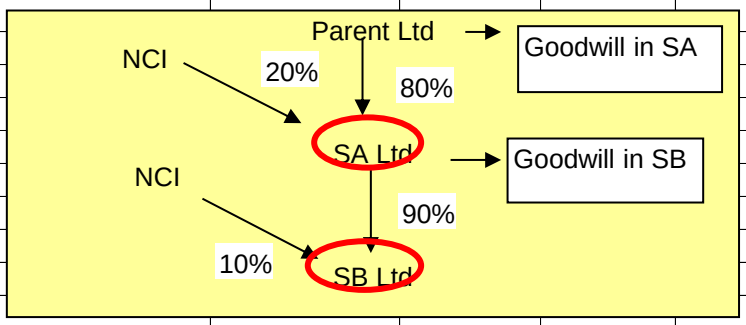
CJE2: Eliminate investment in Z							
Dr Share capital			550,000				
Dr Retained earnings			330,000				
Dr Goodwill			90,000				
Cr Investment in Z				750,000			
Cr Non-controlling interests				220,000			
			970,000	970,000			
CJE3: Eliminate dividend declared by Y							
Dr Dividend income			39,000	(60%*65,000)			
Dr Non-controlling interests			26,000	(40%*65,000)			
Cr Dividend declared by Y				65,000			
CJE4: Eliminate dividend declared by Z							
Dr Dividend income			40,000	(80%*50,000)			
Dr Non-controlling interests			10,000	(20%*50,000)			
Cr Dividend declared by Z				50,000			
CJE5:Recognize NCI's share of prior-year post-acq RE in Y							
Dr RE			72,800				
Cr NCI				72,800			
RE at 1.1.20x5			537,000	(600,000-63,000)			
RE at acq date			-355,000				
Change			182,000				
NCI's share		40%	72,800				
CJE6:Recognize NCI's share of prior-year post-acq RE in Z							
Dr RE			119,600				
Cr NCI				119,600			
RE at 1.1.20x5			560,000	(750,000-190,000)			
RE at acq date			-330,000				
Change			230,000				
NCI's share		52%	119,600				
CJE7: Recognize NCI's share of current year profit in Y							
Dr Income to MI (PL)			35,200	40% *(128,000 - 40,000)			
Cr NCI				35,200			
CJE8: Recognize NCI's share of current year profit in Z							
Dr Income to NCI (PL)			124,800	(52%*240,000)			
Cr NCI				124,800			

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CJE9: Equity accounted profits in X							
Dr Investment in X			80,000	(40%*250,000)			
Dr Share of tax of X			20,000	(40%*50,000)			
Cr Share of profit in X				100,000			
CJE10: Reclassify dividend income to investment account							
Dr Dividend income			16,000				
Cr Investment in X				16,000			
CJE11: Recognise post-acq RE to beginning of year							
Dr Investment in X			136,000				
Cr RE				136,000			
RE at 1.1.20x5			740,000				
RE at acquisition date			-400,000				
Change			340,000				
P's share of change			136,000	40%*340,000			

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The acquisition details are as follows:						
	SA		**SB**			
Acquired by	P Ltd		SA Ltd			
Date of acquisition	2 Jan 20x1		2 Jan 20x1			
Equity at acquisition						
Share capital	200000		100000			
Retained profits	100000		80000			
	300000		180000			
Purchase price	316000		204800			
Percentage acquired	80%		90%			
Step 1: Identify the direct and indirect non-controlling interests in the group structure						
Consider the following multi-level group structure:						



			SA	**SB**		
Direct NCI			20%	10%		
Indirect NCI (SA's NCI has a share in SB = 20% * 90%)				18%		
Total NCI			20%	28%		
Another way to arrive at B's total NCI is to take 100% and subtract the parent's effective interest in B Ltd of 72%. The residual is due to both direct and indirect NCI in SB of 28%.						
Part (2): Elimination of investments						
CJE1: Eliminate investment in SA and RE as at the date of acquisition						
Dr Share capital	200000					
Dr Retained earnings	100000					
Dr Goodwill	95000					
Cr Investment in A		316000				
Cr Non-controlling interests		79000				
Acquisition cost is proportionate to fair value; hence NCI's share can be deduced.						
Goodwill in SA Co						
Fair value of acquisition cost		316000				
Fair value of non-controlling interests		79000	← 316000 x (0.2/0.8)			
Fair value of the entity		395000				
Less fair value of net identifiable assets		300000				
Goodwill		95000				

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			95000 x 0.8
Parent's goodwill		76000	
NCI's goodwill		19000	95000 x 0.2
Total Goodwill		95000	
CJE2: Eliminate investment in SB and RE as at the date of acquisition			
Dr Share capital	100000		
Dr Retained earnings	80000		
Dr Goodwill	47556		
Cr Investment in B		204800	
Cr Non-controlling interests		22756	
Acquisition cost is proportionate to fair value.			
Goodwill in SB Co			
Fair value of acquisition costs		204800	
Fair value of non-controlling interests		22756	204800 x (0.1/0.9)
Fair value of the entity		227556	
Less fair value of net identifiable assets		180000	
Goodwill		47556	
			47556 x 0.9
Parent's goodwill		42800	
NCI's goodwill		4756	47556 x 0.1
Total Goodwill		47556	
Part (2): Allocate profits to non-controlliing interests			
CJE3: Assign NCI's share of post-acquisition RE for subsidiary SA			
Dr Retained earnings	6000		
Cr Non-controlling interests		6000	20% x (130000-100000)
CJE4: Assign NCI's share of post-acquisition RE for subsidiary SB			
Dr Retained earnings	5600		28% x (100000-80000)
Cr Non-controlling interests		5600	
CJE5: Assign NCI's share of current profit after tax for subsidiary SA			
Dr Income to NCI (P&L)	8935		
Cr NCI (BS)		8935	
SA's profit after tax for 20x2		52000	
Less dividend income from SB		-7326	Dividend income (received by SA from SB) is removed out of profit because income from SB is recognised on the basis of MI's indirect interest in SB's income; also an intra-group transaction see CJE8
SA's profit after tax before div income		44674	
NCI's share		8935	
CJE6: Assign NCI's share of current profit after tax for subsidiary SB			
Dr Income to NCI (P&L)	2240		
Cr NCI (BS)		2240	
SB's profit after tax for 20x2		8000	

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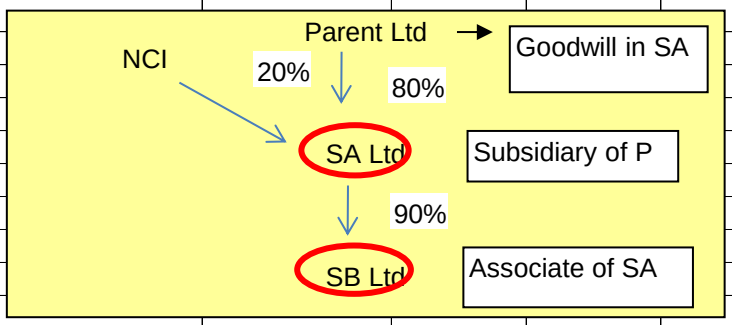
Direct and indirect MI's share of SB		28%				
NCI's share	2240					
Part (3): Elimination of dividends						
CJE7: Elimination of dividend income by P						
Dr Dividend income (P)	23680	*(80%*29600)*				
Dr NCI (BS)	5920	*(NCI % x Dividend declared= 20% x 29600)*				
Cr Dividend declared (SA)		29600				
CJE8: Elimination of dividend income by SA						
Dr Dividend income (SA)	7326	*(90%*8140)*				
Dr NCI (BS)	814	*(NCI % x Dividend declared= 10% x 8140)*				
Cr Dividend declared (SB)		8140				
Note for CJE3: Although NCI has a share of RE of SA that includes past dividend income						
from SB, there is no double counting. In CJE 4, NCI of SA has an indirect share of change in SB's						
RE which would have been reduced by the past dividends declared by SB.						
Analytical check (not required)						
CJE1				79000		
CJE2				22756		
CJE3				6000		
CJE4				5600		
CJE5				8935		
CJE6				2240		
CJE7				-5920		
CJE8				-814		
Total NCI as at 31 Dec 20x2				117796		
Shareholders' equity of SA as at 31 Dec 20x2						
Share capital			200000			
Retained earnings			152400			
			352400			
Less investment in SB			(204800)			
Adjusted shareholders' equity			147600			
Direct NCI of SA' s share of equity			20%	29520		
Goodwill attributable to Direct NCI of SA				19000		
Direct NCI of SA				48520		
Shareholders' equity of SB as at 31 Dec 20x2						
Share capital			100000			
Retained earnings			99860			
			199860			
Direct NCI of SB's share of equity			10%	19986		
Goodwill attributable to direct NCI of SB				4756		
Direct NCI of SB				24742		

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Indirect NCI's of SB's share of equity				18%	35975		
Goodwill of SB attributable to indirect NCI of SE			20%*42800 (Note 1)		8560		
					44535		
Total NCI					117796		
					0		
Note 1:	Indirect NCI has a share of SA's goodwill in SB.						
	SA's goodwill of $42800 in SB is calculated in CJE2. This goodwill amount is						
	based on SA's consideration transferred to acquire 90% interest.						
	There is no need to pro-rate by 90% as this goodwill amount reflects SA's share only.						
	Hence, NCI of SA has a 20% interest (not 18% interest) in SA's goodwill in SB.						

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The acquisition details are as follows:							
		SA		**SB**			
Acquired by		P Ltd		SA Ltd			
Date of acquisition		2 Jan 20x1		2 Jan 20x1			
Equity at acquisition							
Share capital		200000		100000			
Retained profits		100000		80000			
		300000		180000			
Purchase price		316000		204800			
Percentage acquired		80%		90%			



SA Ltd equity accounts SB Ltd							
P Ltd consolidates SA with the equity accounted results of SB Ltd							
CJE1: Eliminate investment in SA and RE as at the date of acquisition							
Dr Share capital		200000					
Dr Retained earnings		100000					
Dr Goodwill		95000					
Cr Investment in SA			316000				
Cr Non- controlling interest			79000				
Goodwill							
Fair value of the acquisition			316000		316000 *(20%/80%)		
Fair value of the NCI			79000				
Fair value of the entity			395000		316000 *(100%/80%)		
Less fair value of net identifiable assets			300000				
Goodwill			95000				
					316000 -(80% *300000)		
P's share of goodwill			76000				
NCI's share of goodwill			19000		79000 - (20% *300000)		
Total goodwill			95000				
CJE2: Assign NCI's share of post-acquisition RE for subsidiary SA							
Dr Retained earnings		6000					
Cr Non- controlling interest			6000		20% x (130000-100000)		

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CJE3: Assign NCI's share of current profit after tax for subsidiary SA						
Dr Income to NCI (P&L)	10375					
Cr NCI (BS)		10375				
SA's profit after tax for 20x2		52000				
Less dividend income from SB		-7326				
Add share of profit after tax of SB		7200				
SA's profit after tax before div income		51874				
NCI's share @20%		10375				
CJE4: Elimination of dividend income by P						
Dr Dividend income (P)		23680	*(80%*29600)*			
Dr NCI (BS)		5920	*(NCI % x Dividend declared= 20% x 29600)*			
Cr Dividend declared (SA)			29600			
CJE5: Equity accounting of SB's profits by SA						
Dr Investment in SB		7200	*(90%*8000)*			
Dr Share of tax expense of SB		1800	*(90%*2000)*			
Cr Share of profit before tax of SB			9000	*(90%*10000)*		
CJE6: Reclassification of dividend from SB as a reduction of investment						
Dr Dividend income (SA)		7326	*(90%*8140)*			
Cr Investment in SB			7326			
CJE7: Share of post-acquisition retained earnings of SB						
Dr Investment in SB		18000				
Cr Opening retained earnings			14400	*(80%*18000)*		
Cr Non-controlling interests			3600	*(20%*18000)*		
Retained earnings of SB as at beginning of current year			100000			
Retained earnings of SB as at date of acquisition			-80000			
Change in retained earnings			20000			
SA's share			18000			
Allocated to P			14400			
Allocated to NCI of SA			3600			
Analytical check of NCI (not required):						
CJE1		79000				
CJE2		6000				
CJE3		10375				
CJE4		-5920				
CJE7		3600				
		93055				
In this analysis, direct NCI of SB does not feature because SB is an associate.						
Shareholders' equity of SA as at 31 Dec 20x2						
Share capital			200000			
Retained earnings			152400			
			352400			
Less investment in SB			(204800)			
			147600			

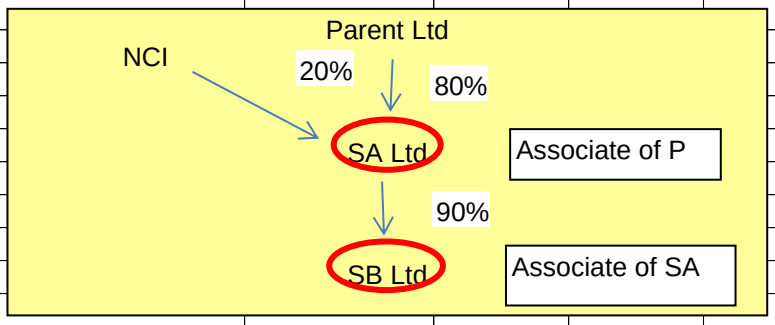
Dividend income (received by SA from SB) is removed out of profit because income from SB is recognised on the basis of share of profits equity accounted by SA

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Direct NCI of SA' s share of equity				20%	29520		
Goodwill attributable to Direct NCI of SA					19000		
Direct NCI of SA					48520		
Shareholders' equity of SB as at 31 Dec 20x2							
Share capital				100000			
Retained earnings				99860			
				199860			
Indirect NCI's interest in SB (as equity accounted profits)				18%	35975		
Indirect NCI's interest in implicit goodwill in SB				Note 1	8560	20%*42800	
Total NCI					93055	0	
Note 1:							
Although SB is an associate, its purchase by SA is at a premium and an implicit goodwill arises							
which is shared by the ultimate shareholders of SA.							
Implicit goodwill in SB = Purchase price - Share of FV of INA of SB							
=204800-(90%*180000)							
=42800							

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The acquisition details are as follows:							
		SA		**SB**			
Acquired by		P Ltd		SA Ltd			
Date of acquisition		2 Jan 20x1		2 Jan 20x1			
Equity at acquisition							
Share capital		200000		100000			
Retained profits		100000		80000			
		300000		180000			
Purchase price		316000		204800			
Percentage acquired		80%		90%			



P Ltd equity accounts SA with the equity accounted results of SB Ltd							
Increase in the carrying amount of SB is included in investment in SA							
CJE1: Equity accounting of SB's profit as included in investment in SA							
Dr Investment in SA	5760	(80%*90%*8000)					
Dr Share of tax expense of SB	1440	(80%*90%*2000)					
Cr Share of profit before tax of SB		7200	(80%*90*10000)				
CJE2: Share of post-acquisition retained earnings of SB							
Dr Investment in SA	14400						
Cr Opening retained earnings		14400					
Retained earnings of SB as at beginning of current year			100000				
Retained earnings of SB as at date of acquisition			-80000				
Change in retained earnings			20000				
SA's share (90%)			18000				
Allocated to P (80%)			14400				
Since we are preparing the financial statements from P's perspective, only P's indirect interest in SB							
is taken into account							
CJE3: Equity accounting of SA's profits by P							
Dr Investment in SA	35739						
Dr Share of tax expense of SA	10400	(80%*13000)					
Cr Share of profit before tax of SA		46139	(80%*57674)				
Profit before tax of SA		65000					
Less dividend income from SB		-7326					
Adjusted profit before tax of SA		57674					
Assume one-tier tax system for dividend; no adjustment necessary for tax effects							

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CJE4: Reclassification of dividend from SA as a reduction of investment							
Dr Dividend income (P's book)			23680	*(80%*29600)*			
Cr Investment in SA				23680			
CJE5: Share of post-acquisition retained earnings of SA							
Dr Investment in SA			24000				
Cr Opening retained earnings				24000	*(80%*30000)*		
Retained earnings of SA as at beginning of current year				130000			
Retained earnings of SA as at date of acquisition				-100000			
Change in retained earnings				30000			
P's share				24000			
Analytical check (not required):							
The final effect on closing retained earnings as follows:							
					Increase in retained earnings		
CJE1						5760	
CJE2						14400	
CJE3						35739	
CJE4						-23680	
CJE7						24000	
						56219	
Retained earnings as at 31 Dec 20x2							
			SA		SB		
Balance 1 Jan 20x2			130000		100000		
Net profit after tax			52000		8000		
Dividends declared			-29600		-8140		
Balance 31 Dec 20x2			152400		99860		
Retained earnings as at acquisition date			-100000		-80000		
Change in retained earnings			52400		19860		
P's share			80%		72%		
P's share as at 31 Dec 20x2			41920		14299	56219	

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Part (1): Consolidation adjustments and equity accounting entries					
Fair value of net assets as at date of acquisition					1,480,000
Deferred tax on fair value adjustments					-36,000
Fair value of net assets, after deferred tax					1,444,000
Fair value of acquisition cost					4,200,000
Fair value of non-controlling interest					400,000
Fair value of total entity					4,600,000
Less: Fair value of net assets, after deferred tax					1,444,000
Goodwill					3,156,000
P's share of goodwill			(4200000-90%(1444000))		2,900,400
NCI's Share of goodwill			(400000-10%(1444000))		255,600
Total goodwill					3,156,000
CJE1: Elimination of investment and recognition goodwill and fair value adjustment					
Dr Share capital (S Co)				1,000,000	
Dr Retained earnings (S Co)				300,000	
Dr Goodwill				3,156,000	
Dr Intangible asset				250,000	
Dr Inventory				50,000	
Cr Contingent liability					120,000
Cr Deferred tax liability					36,000
Cr Investment in S Co					4,200,000
Cr Non-controlling interests					400,000
				4,756,000	4,756,000
CJE2: Recognize past amortization of intangible asset					
Dr Opening retained earnings				90,000	
Dr Non-controlling interests				10,000	
Cr Intangible asset					100,000
CJE2a: Recognize tax effects of CJE2					
Dr Deferred tax liability				20,000	
Cr Opening retained earnings					18,000
Cr Non-controlling interests					2,000
CJE3: Recognize past increase in cost of sales of undervalued inventory					
Dr Opening retained earnings				45,000	
Dr Non-controlling interests				5,000	
Cr Inventory					50,000
CJE3a: Recognize tax effects of CJE3					
Dr Deferred tax liability				10,000	
Cr Opening retained earnings					9,000
Cr Non-controlling interests					1,000
CJE4: Adjust expensing off contingent liability to avoid double-counting and to					
show that the contingent liability in CJE 1 has been settled					
Dr Contingent liability				120,000	
Cr Opening RE					108,000
Cr Non-controlling interests					12,000

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CJE4a: Recognize tax effects of CJE4			
Dr Opening retained earnings		21,600	
Dr Non-controlling interests		2,400	
Cr Deferred tax liability			24,000
CJE5a: Recognize current amortization of recognized intangible asset			
Dr Amortization of intangibles (P&L)	50,000		
Cr Intangibles or Accumulated Amortization (BS)		50,000	
CJE5b: Recognize tax on current amortization of recognized intangible asset			
Dr Deferred tax liability	10,000		
Cr Tax expense		10,000	
CJE6: Adjust unrealized profit from upstream sale included in opening RE			
Dr Opening RE	32,400		
Dr Non-controlling interests	3,600		
Cr Cost of sales		30,000	
Cr Inventory		6,000	
CJE7: Adjust tax on unrealized profit from upstream sale incl. in opening RE			
Dr Tax expense	6,000		
Dr Deferred Tax Asset	1,200		
Cr Opening RE		6,480	
Cr Non-controlling interests		720	
CJE8: Adjust unrealized profit from downstream sale in 20x3			
Dr Sales	600,000		
Cr Cost of Sales		555,000	
Cr Inventory		45,000	
CJE9: Adjust tax on unrealized profit from downstream sale in 20x3			
Dr Deferred Tax Asset	9,000		
Cr Tax expense		9,000	
CJE10: Allocate current profit after tax to Non-controlling interests			
Dr Income to Non-controlling interests	13,200		
Cr Non-controlling interests		13,200	
Net profit after tax (S)		160,000	
Add realized profit from 20x2		30,000	
Less tax on realized profit from 20x2		-6,000	
Less amortization of intangible asset		-50,000	
Add tax on amortization of intangible asset		10,000	
Less dividend income received from B Co		-12,000	Note 1
Adjusted profit after tax		132,000	
NCI's share @10%		13,200	
Note 1: Removed out of S's profit as it is an intra-group transaction			
CJE 11: Eliminate dividend income against dividend declared			
Dr Dividend income	108,000		
Dr Non-controlling interests	12,000		
Cr Dividend declared by S		120,000	
CJE12: Recognize NCI's share of post-acq RE to 1 Jan 20x3			
Dr Opening RE	20,000		
Cr Non-controlling interests		20,000	
RE at 1 Jan 20x3		500,000	

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RE at acquisition date			300,000	
Change in RE			200,000	
CJE13: Elimination of investment in B and recognition of goodwill and fair value adjustment				
Dr Share capital (B Co)			50,000	
Dr Retained earnings (B Co)			10,000	
Dr Goodwill			604,000	
Dr Deferred tax asset			1,000	
Cr Inventory				5,000
Cr Investment in B Co				400,000
Cr Non-controlling interests				260,000
			665,000	665,000
CJE14: Adjust for over-statement of past COS from sale of overvalued inventory				
Dr Inventory			5,000	
Cr Opening retained earnings			(54%*5K)	2,700
Cr Non-controlling interests			(46%*5K)	2,300
CJE15: Adjust for tax on over-statement of past COS				
Dr Opening retained earnings			540	
Dr Non-controlling interests			460	
Cr Deferred tax asset				1,000
CJE16: Allocate current profit after tax to Non-controlling interests				
Dr Income to Non-controlling interests		11,040		
Cr Non-controlling interests			11,040	
Net profit after tax (B Co)		24,000		
NCI's share of B Co		11,040	(46%*24K)	
			P	S's NCI
Direct NCI share	40%		10%	
Indirect NCI share	6.00%	90%	10% x	
Total NCI	46.00%		S	B's NCI
		60%	40%	
			B	
CJE17: Eliminate dividend income against dividend declared				
Dr Dividend income		12,000		
Dr Non-controlling interests		8,000		
Cr Dividend declared by B			20,000	
CJE18: Recognize NCI's share of post-acq RE to 1 Jan 20x3				
Dr Opening RE		6,900		
Cr Non-controlling interests			6,900	
RE at 1 Jan 20x3			25,000	
RE at acquisition date			10,000	
Change in RE			15,000	
EA1: Recognize share of post-acq RE of A				
Dr Investment in A		24,000		
Cr Opening RE			24,000	
RE of A as at 1 Jan 20x3			180,000	
RE of A as at date of acquisition			120,000	
Change in RE			60,000	

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Share of A's change in RE		24,000	
EA2: Adjusment for unrealized profit in beginning fixed assets			
Dr Opening RE	12,800		
Cr Investment in A		12,800	
Profit on transfer of fixed assets	40,000		
Tax on unrealized profit	-8,000		
Unrealized profit after-tax	32,000		
P's share of unrealized profit after-tax	12,800		
EA3: Adjustment for depreciation on unrealized profit in begg FA			
Dr Investment in A	1,600		
Cr Opening RE		1,600	
Past "over-depreciation" on overstated FA	5,000	(40K/4*0.5)	
Less tax on over-depreciation	-1,000		
Correction of after-tax over-depreciation	4,000		
P's share of correction	1,600		
EA4: Adjustment for past depreciation (after-tax) on under-valued FA			
Dr Opening RE	2,560	(40K/5*40%*80%)	
Cr Investment in A		2,560	
EA5: Reclassify dividend income as a reduction of investment			
Dr Dividend income	40,000		
Cr Investment in A		40,000	(100K*40%)
EA6: Recognize share of current profit after tax of A			
Dr Investment in A	64,640		
Cr Share of profit of A		64,640	
Alternatively:			
Dr Investment in A	64,640		
Dr Share of tax of A	16,160		
Cr Share of profit of A		80,800	
Profit before tax of A		200,000	
Less depreciation on undervalued fixed asset (FV adj)		-8,000	
Add correction of current "over-depreciation" on FA		10,000	(40K/4)
Adjusted profit before tax of A		202,000	
Share of adjusted profit before tax of A		80,800	
Tax expense of A		40,000	
Less tax on depreciation on undervalued fixed asset		-1,600	
Add tax effects of correction of "over-depreciation"		2,000	
Adjusted tax of A		40,400	
Share of adjusted tax of A		16,160	
Part (2): Analytical check of Non-controlling interests of S Co			
Using the steps in Illustration 7.1, the solution shows both the direct interests in S Co			
and S Co's NCI indirect interests in B Co			
			Direct NCI
			in S Co
CJE1: NCI at acquisition date			400,000
CJE2: Share of past amortization			-10,000

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CJE2a: Share of tax of past amortization					2,000
CJE3:Share of past COS adj on under-val inventory					-5,000
CJE3a: Share of tax of past COS					1,000
CJE4:Share of claims expense adjustment					12,000
CJE4a: Share of tax of past claims expense adjustment					-2,400
CJE6: Share of adj of unrealized profit in begg inventory					-3,600
CJE7: Share of adj of tax effects of CJE6					720
CJE10: Share of adjusted current profit after tax					13,200
CJE11: Dividends paid to NCI					-12,000
CJE12: NCI's share of post-acq RE					20,000
NCI as at 31 Dec 20x3					415,920
Analytical check of Non-controlling interests of B Co (direct NCI is not asked in this question)					
				Direct NCI	Indirect NCI
				(B Co's NCI)	(S Co's NCI)
CJE13: NCI at acquisition date			260,000	260,000	
CJE14:Share of past COS adjustment on over-valued inventor			2,300	2,000	300
CJE15: Share of tax on past COS			-460	-400	-60
CJE16: Share of adjusted current profit after tax			11,040	9,600	1,440
CJE17: Dividends paid to NCI			-8,000	-8,000	
CJE18: NCI's share of post-acq RE			6,900	6000	900
NCI as at 31 Dec 20x3			271,780	269,200	2,580
NCI's share of B Co as at 31 Dec 20x3					
Direct NCI's share = 40%* 79K			31,600		
NCI's share of goodwill = 260000- (0.4 * 56,000)			237,600		
			269,200		
S Co's NCI total interest					418,500
Analytical check					S Co
Book value of net assets as at 31 Dec 20x3					1,540,000
Less investment in B Co					-400,000
Unrealized profit included in net assets of S Co (after-tax)					-4,800
Adjusted book value of net assets					1,135,200
Unamortized balance of intangible asset, after-tax					80,000
Adjusted net assets at 31 Dec 20x3					1,215,200
S Co's NCI's share of adjusted net assets					121,520
S Co's NCI's share of goodwill					255,600
NCI's share of S Co as at 31 Dec 20x3					377,120
Indirect NCI's interest in B Co					
	Shareholders' equity of B Co as at 31 December 20x3			79,000	
	Inidrect NCI's share				4,740
	Indirect NCI's share of goodwill in B Co				
		Total goodwill in B Co		604,000	
		Goodwill attributable to B Co's direct NCI		-237,600	
		S' goodwill in B Co		366,400	
		S' NCI share of goodwill @ 10%			36,640
	S Co's NCI balance (including indirect NCI in B Co)				418,500

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					0
Part (3): Analytical check on the investment in A Co as at 31 December 20x3					
Book value of shareholders' equity of A					440,000
Adjustment for undepreciated balance of over-stated FA				Note 1	-20,000
Fair value adjustment (undepreciated balance of fixed asset), after-tax				Note 2	19,200
					439,200
P's share of A's identifiable net assets					175,680
Implicit goodwill in investment in A:					
Investment in A				600,000	
Less Share of FV of net assets of A at acq				144,000	
Adjust share of deferred tax on FV under-valued FA				-3,200	
Goodwill in A implicit in the investment in A					459,200
Investment in A, equity method					634,880
Investment in A, at cost					600,000
EA1: Share of post-acq RE					24,000
EA2: Adjustment for profit on transferred FA in beginning RE					-12,800
EA3: Adjustment for "over-depreciation" on FA in beginning RE					1,600
EA4: Adjustment for past depreciation on under-valued FA					-2,560
EA5: Dividend received					-40,000
EA6: Share of current profit after tax					64,640
Investment in A as at 31 Dec 2005					634,880
Note 1:	(40K-5K-10K)*0.8				
Note 2:	(40K/5*3)*0.80				

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Part (1): Consolidation and equity accounting entries for 20x5							
CJE1: Elimination of investment in Y Co							
Dr Share capital		800,000					
Dr Retained earnings		900,000					
Dr Inventory		100,000					
Dr Goodwill		820,000					
Cr Deferred tax liability			20,000				
Cr Investment in Y Co			2,200,000				
Cr Non-controlling interests			400,000				
		2,620,000	2,620,000				
CJE2: Sale of under-valued inventory							
Dr Opening RE		90,000					
Dr Non-controlling interests		10,000					
Cr Inventory			100,000				
CJE2a: Tax effects of CJE2							
Dr Deferred tax liability		20,000					
Cr Opening RE			18,000				
Cr Non-controlling interests			2,000				
CJE3: Allocate share of post-acq RE to NCI							
Dr Opening RE		30,000					
Cr NCI (BS)			30,000				
RE at 1 Jan 20X5				1,200,000			
RE at date of acquisition				900,000			
Change in RE				300,000			
NCI's share				30,000			
For convenience, CJE3a is incorporated in CJE7							
CJE3a: Adjustment for NCI's share of unrealized profit in beginning RE (sale from Y to W)							
Dr Non-controlling interests		1,037	(10% of CJE7)	10%*60000*80%*80%*30%			
Cr Opening RE			1,037				
CJE4: Eliminate dividends declared by Y Co							
Dr Dividend income		270,000					
Dr Non-controlling interests		30,000					
Cr Dividend declared			300,000				
CJE5: Allocate share of current income to NCI							
Dr Income to NCI		137,664					
Cr NCI (BS)			137,664				
NPAT of Y Co					1,440,000		
Add realized profit from sale to W (NCI's share of CJE9)					8,640	Note 1	
Less dividend income from W					-72,000		
Adjusted NPAT					1,376,640		
Note 1: 60000*60%*80%*30%							
CJE6: Eliminate intercompany payable and receivable							
Dr Intercompany payable		100,000					
Cr Intercompany receivable			100,000				

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CJE7: Elimination of investment in W Co							
Dr Share capital		500,000					
Dr Retained earnings		340,000					
Dr Goodwill		300,800					
Dr Deferred tax asset		2,000					
Cr Inventory			10,000				
Cr Investment in W Co			800,000				
Cr Non-controlling interests			332,800	40%*(500000+340000+2000-10000)			
		1,142,800	1,142,800				
Gain on bargain purchase attributable to NCI				(32,800)	(300000-40%*(500000+340000+2000-10000)		
Goodwill attributable to Y Co				300,800	(800000-60%*(500000+340000+2000-10000))		
Net goodwill				268,000			
IFRS 3 requires gain on bargain purchase to be recognized in the income statement and the gain to be attributable to the acquirer. Basis of Conclusion BC 376 stipulates that a gain taken to income and goodwill cannot be recognized on the same business combination.							
To avoid this inconsistency, we recognize NCI as a share of identifiable net assets and ignore the gain on bargain purchase.							
CJE8: Allocation of post-acquisition RE to total NCI of W Co							
Dr Retained earnings		27,600					
Cr Non-controlling interests			27,600				
Retained earnings at 1 Jan 20X5					400,000		
Retained earnings at date of acquisition					-340,000		
Change in retained earnings					60,000		
Direct NCI					40.00%		
Indirect NCI					6.00%		
Total NCI					46.00%		
CJE9: Adjustment of excess cost of sales on over-valued inventory							
Dr Inventory			10,000				
Cr Cost of Sales				10,000			
CJE10: Adjustment for tax on excess cost of sales on over-valued inventory							
Dr Tax expense			2,000				
Cr Deferred tax asset				2,000			
CJE11:Allocation of current profit after tax to total NCI of W Co							
Dr Income to non-controlling interests			111,320				
Cr Non-controlling interests				111,320			
Net profit after tax					234,000		
Adjust excess cost of sales on over-valued inventory					10,000		
Less tax expense on excess cost of sales					-2,000		
Adjusted net profit after tax					242,000		
Total NCI					46.00%		
CJE12: Elimination of dividends declared by W Co							
Dr Dividend income			72,000				
Dr Non-controlling interests			48,000				
Cr Dividend declared				120,000			
EA1: Recognize share of post-acq RE of Z							
Dr Investment in Z		90,000					
Cr Opening RE			90,000				
RE of Z as at 1 Jan 20X5			700,000				
RE of Z as at date of acquisition			400,000				

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Change in RE			300,000				
Adjusted change in RE			300,000				
Share of Z's change in RE			90,000				
EA2: Adjustment for unrealized profit in beginning RE (after-tax)							
Dr Opening RE		10,368	90%*11520				
Dr Non-controlling interests		1,152	10%*11520				
Cr Investment in Z			11,520	60000*80%*80%*30%			
EA3: Reclassify dividend income as a reduction of investment							
Dr Dividend income		30,000					
Cr Investment in Z			30,000				
EA4: Recognize share of current profit after tax of Z							
Dr Investment in Z		129,600					
Cr Share of profit of Z			129,600				
Alternatively:							
Dr Investment in Z		129,600					
Dr Share of tax of Z		24,900					
Cr Share of profit of Z			154,500				
NPBT					500,000		
Add realized profit					36,000	60000*60%	
Less unrealized profit					-28,000		
Add realization through depreciation					7,000		
Adjusted NPBT of Z					515,000		
Tax expense of Z					80,000		
Add tax on realized profit					7,200		
Less tax on unrealized profit and depreciation					-4,200		
Adjusted tax expense of Z					83,000		
Depreciation before transfer					36,000		
Depreciation after transfer					43,000		
Annual over-depreciation to be corrected (20X4&20X5)					-7,000		
Part (2): Analytical check on Non-controlling interests as at 31 Dec 20x5							
Non-controlling interests in Y Co						**Y Co's NCI**	
CJE1: NCI at date of acquisition						400,000	
CJE2: Adjustment for sale of under-valued inventory						-10,000	
CJE2a: Adjustment for tax on sale of under-valued inventory						2,000	
CJE3: Share of post-acq RE						30,000	
CJE7 (or CJE3a):Adjustment for unrealized profit in sale to W						-1,152	
CJE4: Dividends received						-30,000	
CJE5: Allocate share of current income to NCI						137,664	
NCI balance as at 31 Dec 20X5						528,512	
Non-controlling interests in W Co				**Total NCI**	**Direct NCI**	**Indirect NCI**	
CJE7: Non-controlling interests as at date of acquisition				332,800	332,800		
CJE8:Allocation of post-acquisition RE to NCI				27,600	24,000	3,600	
CJE11:Allocation of current profit after tax to total NCI of W				111,320	96,800	14,520	
CJE12:Elimination of dividends declared by W Co				-48,000	-48,000		
Balance in non-controlling interests of W Co				423,720	405,600	18,120	
Total NCI	= NCI of Y + NCI of W		952,232		405,600	546,632	
Analytical check of Non-controlling interests in Y Co:							

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Book value of net assets of Y Co as at 31 Dec 20X5							3,140,000	
Less investment in W Co							-800,000	
Less unrealized profit in transfer to W				=-60000*20%*80%*30%			-2,880	
Adjusted net assets as at 31 Dec 20X5							2,337,120	
NCI's share of net assets							233,712	
NCI's share of goodwill				Note 1			222,000	
NCI balance as at 31 Dec 20X5							455,712	
	Note 1:		(400000-10%*(800000+900000+100000-20000)					
Analytical check of non-controlling interests in W Co								
Book value of W Co as at 31 Dec 20X5						1,014,000		
Unamortized balance of fair value adjustment						0		
Adjusted book value of W Co						1,014,000		
Direct NCI of W Co's share of adjusted book value						405,600		
Gain on bargain purchase			(300000-40%*(500000+340000+2000-10000)			0	Ignored	
Direct NCI balance as at 31 Dec 20x5						405,600		
Indirect NCI's share of W Co								
Share of book value of W Co as at 31 Dec 20x5					6%*1014000		60,840	
Share of goodwill in W Co								
	Goodwill in W Co				300,800			
	Gain on bargain purchase				0			
	Y Co's goodwill in W Co				300,800			
	Attributable to Y Co's NCI						30,080	
							90,920	
							546,632	0
Part (3): Analytical check on the balance of the investment in associate								
Analytical check of Investment in Z:								
Book value of shareholders' equity of Z						1,220,000		
Less unrealized profit at end 20X5 (undepreciated profit) after-tax						-16,800		
Less unrealized profit in inventory at end of year					=-60000*20%*8	-9,600		
Unimpaired balance of intangible asset, after-tax						240,000		
						1,433,600		
P's share of Z's identifiable net assets						430,080		
Implicit goodwill in investment in Z:								
Investment in Z					800,000			
BV of net assets of Z at acq				600,000				
Unrecognized intangible				300,000				
Deferred tax on unrecognized intangible				-60,000				
FV of net assets of Z at acq				840,000				
Less Share of FV of net assets of Z at acq					252,000			
Goodwill in Z implicit in the investment in Z						548,000		
						978,080		
Investment in Z, at cost						800,000		
EA1: Share of post-acq RE						90,000		
EA2: Adjustment of unrealized profit in beginning RE						-11,520		
EA3: Dividend received						-30,000		
EA4: :Share of current profit after tax						129,600		
Investment in Z as at 31 Dec 20X5						978,080		

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Part (4): Consolidation Worksheets for the year ended 31 December 20x5								
Income Statement for year ended 31 December 20X5								
			P Co	**Y Co**	**W Co**	**Dr**	**Cr**	**Total**
Profit before tax			4,200,000	1,800,000	300,000	270,000		6,092,500
						30,000	154,500	
						72,000	10,000	
Tax			-840,000	-360,000	-66,000	24,900		-1,292,900
						2,000		
Profit after tax			3,360,000	1,440,000	234,000			4,799,600
Dividends declared			-400,000	-300,000	-120,000		300,000	-400,000
							120,000	
Profit retained			2,960,000	1,140,000	114,000			4,399,600
Income to NCI						137,664		-248,984
						111,320		
Retained earnings, 1 Jan 20X5			1,200,000	1,200,000	400,000	900,000	90,000	1,510,032
						90,000		
						30,000	18,000	
						10,368		
						340,000		
						27,600		
Retained earnings, 31 Dec 20X5			4,160,000	2,340,000	514,000	2,045,852	692,500	5,660,648

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SFP as at 31 Dec 20X5	P Co	Y Co	W Co	Dr	Cr	Total
Fixed assets, net book value	2,800,000	2,060,000	3,500,000			8,360,000
Goodwill				820,000		1,120,800
				300,800		
Investment in Y Co, at cost	2,200,000				2,200,000	
Investment in Z Co, at cost	800,000			90,000	30,000	978,080
				129,600	11,520	
Investment in W Co, at cost		800,000			800,000	0
Deferred tax					2,000	0
				2,000		
Inventory	760,000	500,000	100,000	100,000	100,000	1,360,000
				10,000		
					10,000	
Intercompany receivable		100,000			100,000	0
Accounts receivable	600,000	500,000	250,000			1,350,000
Cash	45,000	100,000	30,000			175,000
	7,205,000	4,060,000	3,880,000	1,452,400	3,253,520	13,343,880
	P Co	**Y Co**	**W Co**	**Dr**	**Cr**	**Total**
Accounts payable	1,745,000	920,000	2,866,000			5,531,000
Intercompany payable	100,000			100,000		0
Deferred tax liability				20,000	20,000	0
Share capital	1,200,000	800,000	500,000	800,000		1,200,000
				500,000		
Retained earnings	4,160,000	2,340,000	514,000	2,045,852	692,500	5,660,648
Non-controlling interests				10,000	400,000	952,232
(Y's NCI and W's NCI)				30,000	30,000	
				1,152		
				48,000	137,664	
					332,800	
					27,600	
					111,320	
					2,000	
	7,205,000	4,060,000	3,880,000	3,555,004	1,753,884	13,343,880
				5,007,404	5,007,404	

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CJE1: Elimination of investment in Y Co and W Co as of 1 July 20x3							
Dr Share capital (Y Co)			1,000,000				
Dr Share capital (W Co)			800,000				
Dr Retained earnings (Y Co)			600,000				
Dr Retained earnings (W Co)			750,000				
Dr Revaluation reserves (W Co)			400,000				
Dr Inventory (Y Co)			100,000				
Dr Goodwill		(Note 1)	460,000				
Cr Deferred tax liability (Y Co)				20,000			
Cr Investment in Y Co				2,000,000			
Cr Investment in W Co				1,500,000			
Cr Non-controlling interests in Y				200,000	Note 3		
Cr Non-controlling interests in W				390,000	Note 4		
			4,110,000	4,110,000			
Goodwill in sub-group of Y Co							
Fair value of consideration transferred				2,000,000			
Fair value of non-controlling interests of Y				200,000			
Fair value of non-controlling interests of W				390,000	Refer Note 4		
				2,590,000			
Less fair value of Y's consolidated identifiable net assets				2,130,000	(see workings above)		
Goodwill				460,000			
Fair value of identifiable net assets of consolidated net assets of Y Co (with W Co)							
Book value of net assets of Y Co				1,600,000			
Investment in W Co				(1,500,000)	Note 2		
Book value of net assets of W Co				1,950,000			
Book value of consolidated net assets				2,050,000	Note 5		
Under-valued inventory				100,000			
Deferred tax liability				(20,000)			
FV of identifiable net assets of sub-group at 1 July 20x				2,130,000			
Note 2: Removed to avoid double counting.							
Note 3: NCI of Y has a fair value of $200,000 as at 1 July 20x3. The fair value comprises of NCI's							
share of net identifiable assets and goodwill							
					Y's NCI's share		
				Total	10%		
Book value of net assets of Y Co as at 1 July 20x3				1,600,000			
Under-valuation of inventory, after tax				80,000			
Less investment in W, to avoid double counting				(1,500,000)			
				180,000	18,000		
Book value (also fair value) of net assets of W Co				1,950,000			
Y Co's share of net assets of W Co as at 1 July 20x3				1,560,000	156,000		
Y's NCI's goodwill (residual)					26,000		
Fair value of Y's NCI as at 1 July 20x3					200,000		
Note 4: Fair value of W Co's non-controlling interests as at 1 July 20x3 is $375,000. The fair value is							
analyzed as follows.							
				Total	NCI's share		
					20%		
W Co's shareholder's equity as at 1 July 20x3				1,950,000	390,000		
Share capital			800,000				
Retained earnings			750,000				
Revaluation reserves			400,000				
			1,950,000				

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W Co's undervaluation of identifiable net assets				0	0		
NCI's gain on bargain purchase			Explanatory note		-15,000		
Removal of gain on bargain purchase					15,000		
NCI of W Co					390,000		
IFRS 3 Basis of Conclusions (BC376) does not permit a gain on bargain purchase and goodwill to be							
recognized on the same business combination.							
Since P recognizes goodwill on the acquisition of the sub-group, the gain will not be recognized by NCI.							
The goodwill attributable to NCI in this scenario will be zero.							
Fair value of NCI is adjusted to reflect only the proportion of identifiable net assets as at 1 July 20x3.							
Note 5: To further check this residual, we can also work out the consolidated net assets as at							
1 July 20x3 by reconstructing the consolidation worksheets as at this date.							
CJE1B and CJE2B are for explanatory purposes only and not required to answer this question.							
First of all, we re-enact the consolidation entries for Y Co and W Co as at 1 July 20x3:							
CJE1B Elimination of investment in W Co as of 1 January 20x2							
Dr Share capital			800,000				
Dr Retained earnings			500,000				
Dr Revaluation reserves			400,000				
Dr Goodwill			150,000	(Ignored as of 1 July 20x3)			
Cr Investment in W Co				1,500,000			
Cr Non-controlling interests in W Co				350,000			
CJE2B: Allocation of post-acquisition retained earnings of W Co from 1 Jan 20x2 to 1 July 20x3							
Dr Non-controlling interests			50,000				
Cr Retained earnings				50,000			
Retained earnings, 1 July 20x3				750,000			
Retained earnings, 1 Jan 20x2				500,000			
Change in post-acquisition retained earnings				250,000			
Total NCI share of post-acquisition retained earnings							
W Co's NCI		20.0%					
Optional: we complete the consolidation worksheet for Y Co and W Co as at 1 July 20x3 as follows:							
Statement of Financial Position			**Y Co**	**W Co**	**Dr**	**Cr**	**Group**
as at 1 July 20x3							
Share capital			1,000,000	800,000	800,000		1,000,000
Retained earnings			600,000	750,000	500,000		800,000
					50,000		
Revaluation reserves				400,000	400,000		0
Non-controlling interests						350,000	400,000
						50,000	
			1,600,000	1,950,000			2,200,000
Goodwill		(Note 4)			150,000		150,000
Investment in Z			1,500,000			1,500,000	
Other net assets		(Note 5)	100,000	1,950,000			**2,050,000**
			1,600,000	1,950,000	1,900,000	1,900,000	2,200,000

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Note 4:	The goodwill on acquisition of W Co as at 1 January 20x2 is ignored when						
	calculating the goodwill on acquisition of Y Co as at 1 July 20x3.						
Note 5:	Consolidated net assets (other than goodwill) of $2,050,000 is the same as worked						
	out in the workings in Note 1 above.						
CJE2: Sale of under-valued inventory of Y Co							
Dr Opening RE			90,000				
Dr Non-controlling interests			10,000				
Cr Inventory				100,000			
CJE3: Tax effects of CJE2							
Dr Deferred tax liability			20,000				
Cr Opening RE				18,000			
Cr Non-controlling interests				2,000			
CJE4: Adjustment for unrealized profit on beginning inventory							
Dr Opening RE			36,000	90%*80%*50000			
Dr Non-controlling interests			4,000	10%*80%*50000			
Cr Cost of sales				35,000	70%*50000		
Cr Inventory				5,000	10%*50000		
CJE5: Adjustment for tax on unrealized profit							
Dr Tax expense			7,000	20%*35000			
Dr Deferred tax asset			1,000	20%*5000			
Cr Opening RE				7,200	20%*36000		
Cr Non-controlling interests				800	20%*4000		
CJE6: Adjustment of unrealized profit from P Co to Y Co							
Dr Sales			200,000				
Dr Inventory			20,000	40%*50000			
Cr Cost of sales				220,000			
Since the loss on sale was not indicative of an impairment loss, the loss is "artificial" and should be							
reversed out.							
CJE7: Tax effects on CJE6							
Dr Tax expense			4,000	20%*20000			
Cr Deferred tax liability				4,000			
CJE8: Allocate share of post-acquisition RE of Y Co to NCI of Y Co							
Dr Opening RE			30,000				
Cr NCI (BS)				30,000			
RE at 1 Jan 20x5						900,000	
RE at 1 July 20x3						600,000	
Change in RE						300,000	
NCI's share						30,000	
CJE9: Eliminate dividends declared by Y Co							
Dr Dividend income			90,000				
Dr Non-controlling interests			10,000				
Cr Dividend declared				100,000			
CJE10: Allocate share of current income of Y Co to NCI of Y Co							
Dr Income to NCI			90,800				
Cr NCI (BS)				90,800			
NPAT of Y Co						960,000	
Add back realized profit						35,000	

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Less tax on realized profit of upstream gain					(7,000)	
Less dividend received from W Co					(80,000)	
Adjusted NPAT					908,000	
CJE11: Allocation of post-acquisition RE to total NCI of W Co						
Dr Retained earnings		42,000	28%*150000			
Cr Non-controlling interests			42,000			
Retained earnings at 1 Jan 20x5					900,000	
Retained earnings at 1 July 20x3					750,000	
Change in retained earnings					150,000	
Direct NCI				20%	30,000	
Indirect NCI				8.00%	12,000	
Total NCI				28.00%	42,000	
CJE12: Allocation of current profit after tax to total NCI of W Co						
Dr Income to NCI		107,520				
Cr Non-controlling Interests			107,520			
Net profit after tax of W Co					384,000	
Direct NCI				20%	76,800	
Indirect NCI				8%	30,720	
Total NCI				28%	107,520	
CJE13: Elimination of dividends declared by W Co						
Dr Dividend income		80,000				
Dr Non-controlling interests		20,000				
Cr Dividend declared			100,000			
CJE14: Allocation of post-acq revaluation reserves to total NCI of W						
Dr Revaluation reserves		28,000				
Cr Non-controlling interests			28,000			
Revaluation reserves at 31 Dec 20x5					500,000	
Revaluation reserves at 1 July 20x3					400,000	
Change in revaluation reserves					100,000	
Direct NCI				20%	20,000	
Indirect NCI				8%	8,000	
Total NCI				28%	28,000	
CJE15: Eliminate intercompany payable and receivable						
Dr Intercompany payable		250,000				
Cr Intercompany receivable			250,000			
EA1: Recognize share of post-acq RE of Z						
Dr Investment in Z		30,000				
Cr Opening RE			30,000			
RE of Z as at 1 Jan 20x5					600,000	
RE of Z as at date of acquisition					500,000	
Change in RE					100,000	
EA2: Recognize past amortization of intangible asset, after-tax						
Dr Opening RE		14,400	30%*80%*300000/5			
Cr Investment in Z			14,400			

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Alternatively EA1 and EA2 can be combined: Recognize share of post-acq RE of Z							
Dr Investment in Z			15,600				
Cr Opening RE				15,600			
RE of Z as at 1 Jan 20x5						600,000	
RE of Z as at date of acquisition						500,000	
Change in RE						100,000	
Less past amortization of intangible asset, after-tax						(48,000)	
Adjusted change in RE						52,000	
Share of Z's change in RE						15,600	
EA3: Reclassify dividend income as a reduction of investment							
Dr Dividend income			24,000				
Cr Investment in Z				24,000			
EA4: Recognize share of current profit after tax of Z							
Dr Investment in Z			53,400				
Cr Share of profit of Z				53,400			
Alternatively:							
Dr Investment in Z			53,400				
Dr Share of tax of Z			24,600				
Cr Share of profit of Z				78,000			
NPBT						600,000	
Less unrealized profit on transfer of fixed assets						(350,000)	
Add back excess depreciation						70,000	
Less amortization of intangible asset						(60,000)	
Adjusted NPBT of Z						260,000	
Tax expense of Z						150,000	
Less on unrealized profit on transfer of fixed assets						(70,000)	
Add tax on excess depreciation						14,000	
Less tax on amortization of intangible asset						(12,000)	
Adjusted tax expense of Z						82,000	
Part (2): Consolidation worksheets for the year ended 31 December 20x5							
Income Statement for year ended 31 December 20x5							
		P Co	**Y Co**	**W Co**	**Dr**	**Cr**	
Profit before tax		2,400,000	1,200,000	480,000	90,000	20,000	4,019,000
					24,000	78,000	
					80,000	35,000	
Tax		(480,000)	(240,000)	(96,000)	4,000		(851,600)
					24,600		
					7,000		
Profit after tax		1,920,000	960,000	384,000			3,167,400
Income to NCI					90,800		(198,320)
					107,520		
Profit retained							2,969,080
Retained earnings, 1 Jan		1,450,000	900,000	900,000	600,000	15,600	1,742,800
					90,000	18,000	
					30,000	7,200	
					36,000		
					750,000		
					42,000		

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Dividends declared		(500,000)	(100,000)	(100,000)		100,000	(500,000)
						100,000	
Retained earnings, 31 Dec		2,870,000	1,760,000	1,184,000	1,975,920	373,800	4,211,880
Statement of Financial Position as at 31 Dec 20x5							
		P Co	**Y Co**	**W Co**	**Dr**	**Cr**	**Total**
Fixed assets, net book value		3,000,000	2,120,000	1,900,000			7,020,000
Goodwill					460,000		460,000
Investment in Y Co, at cost		2,000,000				2,000,000	0
Investment in Z Co, at cost		1,200,000			15,600	24,000	1,245,000
					53,400		
Investment in W Co, at cost			1,500,000			1,500,000	0
Deferred tax asset					1,000		1,000
Inventory		960,000	500,000	500,000	100,000	100,000	1,975,000
					20,000	5000	
Intercompany receivable			250,000			250,000	0
Accounts receivable		500,000	450,000	350,000			1,300,000
Cash		120,000	50,000	100,000			270,000
		7,780,000	4,870,000	2,850,000	650,000	3,879,000	12,271,000
		P Co	**Y Co**	**W Co**	**Dr**	**Cr**	**Total**
Accounts payable		2,660,000	2,110,000	366,000			5,136,000
Intercompany payable		250,000			250,000		0
Deferred tax liability					20,000	4,000	4,000
						20,000	
Share capital		2,000,000	1,000,000	800,000	1,000,000		2,000,000
					800,000		
Retained earnings		2,870,000	1,760,000	1,184,000	1,975,920	373,800	4,211,880
Revaluation reserves				500,000	28,000		72,000
					400,000		
Non-controlling interests					10,000	200,000	847,120
					10,000	30,000	
					4,000	800	
					20,000	90,800	
						390,000	
						107,520	
						28,000	
						2,000	
						42,000	
		7,780,000	4,870,000	2,850,000	4,517,920	1,288,920	12,271,000
					5,167,920	5,167,920	

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Part (3): Analytical checks							
Total Non-controlling interests as at 31 December 20x5							
					Total	**NCI of**	**Direct**
					NCI	**Y Co and**	**NCI of W**
						indirect	
						NCI of W Co	
CJE1: Y Co's NCI as at 1 July 20x3					200,000	200,000	
CJE1: W Co's NCI as at 1 July 20x3					390,000		390,000
CJE2: Sale of under-valued inventory of Y Co					(10,000)	(10,000)	
CJE3: Tax effects of CJE2					2,000	2,000	
CJE4: Adjustment for unrealized profit on beginning inventory					(4,000)	(4,000)	
CJE5: Adjustment for tax on unrealized profit					800	800	
CJE8: Allocate share of post-acquisition RE of Y Co to NCI of Y Co					30,000	30,000	
CJE9: Eliminate dividends declared by Y Co					(10,000)	(10,000)	
CJE10: Allocate share of current income of Y Co to NCI of Y Co					90,800	90,800	
CJE11: Allocation of post-acquisition RE to total NCI of W Co					42,000	12,000	30,000
CJE12: Allocation of current profit after tax to total NCI of W Co					107,520	30,720	76,800
CJE13: Elimination of dividends declared by W Co					(20,000)		(20,000)
CJE14: Allocation of post-acq revaluation reserves to total NCI of W					28,000	8,000	20,000
					847,120	350,320	496,800
Analytical check on non-controlling interests of Y Co (and indirect NCI of W Co)							
Y Co's shareholders' equity as at 31 December 20x5					2,760,000		
Less investment in W Co					(1,500,000)		
Less unrealized profit remaining as at 31 December 20				Note 1	(4,000)		
Adjusted shareholders' equity as at 31 December 20x5					1,256,000		
NCI's share of adjusted equity of Y Co as at 31 December 20x5					125,600		
		Note 1	10%*80%*50000				
W Co's shareholders' equity as at 31 December 20x5				2,484,000			
Indirect NCI's share of W Co					198,720		
					324,320		
NCI of Y Co's share of goodwill as at 31 Dec 20x5					26,000	CJE1	
NCI of Y Co					350,320	-	
Analytical check of direct NCI of W Co							
W Co's shareholders' equity as at 31 December 20x5					2,484,000		
W Co's direct NCI share of equity as at 31 December 20x5					496,800		
Goodwill attributable to W Co's NCI					-		
Direct NCI of W Co as at 31 December 20x5					496,800	-	

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Analytical check of Investment in Z					
Book value of shareholders' equity of Z			1,370,000		
Less unrealized profit as at end of 20x5			(224,000)		
Unamortized balance of intangible asset, after-tax			144,000		
			1,290,000		
P's share of Z's identifiable net assets			387,000		
Implicit goodwill in investment in Z:					
Investment in Z		1,200,000			
BV of net assets of Z at acq	900,000				
Unrecognized intangible, after-tax	240,000				
FV of net assets of Z at acq	1,140,000				
Less Share of FV of net assets of Z at acq		342,000			
Goodwill in Z implicit in the investment in Z			858,000		
			1,245,000		
Investment in Z, at cost			1,200,000		
EA1: Share of post-acq RE			15,600		
EA2:Dividend received			(24,000)		
EA3:Share of current profit after tax			53,400		
Investment in Z as at 31 Dec 20x5			1,245,000		

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Transfer of fixed assets						
Transfer price			250,000			
Original cost		240,000				
Accumulated depreciation		-40,000				
Net book value			-200,000			
Profit on transfer			50,000			
Useful life at date of transfer			10			
Undepreciated balance as at 31.12.20x0			90%			
20x0	PBT	Tax	% ownership		Direct investor	
S	800,000	160,000	70%		P	
A	300,000	60,000	40%		P	
B	650,000	130,000	90%		S	
20x1	PBT	Tax				
S	900,000	180,000				
A	250,000	50,000				
B	500,000	100,000				
(a) S sells to A						
Equity accounting entries as at 31 December 20x0:						
Dr Investment in A			81,600			
Cr Share of profit of A				81,600		
Alternatively:						
Dr Investment in A			81,600			
Dr Share of tax of A			20,400			
Cr Share of profit of A				102,000		
Profit before tax of A			300,000			
Unrealized profit at year-end			-45,000	50000*9/10		
Adjusted profit before tax of A			255,000			
P's share of adjusted profit			102,000	40%*255000		
Tax expense of A			60,000			
Tax on unrealized profit			-9,000	20%*45000		
Adjusted tax expense of A			51,000			
P's share of adjusted tax			20,400	40%*51000		
Consolidation adjustment as at 31 Dec 20x0:						
Dr Income to non-controlling interests			187,680			
Cr Non-controlling interests				187,680		
Profit after tax of S			640,000			
Less unrealized profit arising from						
transfer from S to A (after-tax)			-14,400	50000*9/10*40%*80%		

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Adjusted profit after tax of S	625,600			
Non-controlling interests at 30%	187,680	30%*625600		
Equity accounting entries as at 31 December 20x1:				
EA1: Reinstatement of previous year's adjustment to opening balance				
Dr Opening retained earnings	10,080	14400*70%		
Dr Non-controlling interests	4,320	14400*30%		
Cr Investment in A		14,400		
EA2: Share of profit after tax for 20x1				
Dr Investment in A	81,600			
Cr Share of profit of A		81,600		
Dr Investment in A	81,600			
Dr Share of tax of A	20,400			
Cr Share of profit of A		102,000		
Profit before tax of A	250,000			
Add back realised profit	5,000	Depreciation:50k/10		
Adjusted profit before tax of A	255,000			
P's share of adjusted profit	102,000	40%*255000		
Tax expense of A	50,000			
Tax on unrealized profit	1,000	Tax on depreciation		
Adjusted tax expense of A	51,000			
P's share of adjusted tax	20,400	40%*51000		
Consolidation adjustment as at 31 Dec 20x1:				
CJE1: Allocation of current income to non-controlling interests				
Dr Income to non-controlling interests	216,480			
Cr Non-controlling interests		216,480		
Profit after tax of S	720,000			
Add realization through depreciation				
of fixed assets (after-tax)	1,600	5000*80%*40%		
Adjusted profit after tax of S	721,600			
Non-controlling interests	216,480	30%*721600		
(b) B sells to P				
Since B is owned directly and indirectly by non-controlling interests, total non-				
controlling interests will bear their portion of the adjustment.				
Direct non-controlling interests of B		10%		
Indirect non-controlling interests of B		27%		
Total non-controlling interests of B		37%		

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Total non-controlling interests of B is also the complement of P's indirect interests						
in B			70%*90%	63%		

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Consolidation adjustments (20x0):					
CJE1: Elimination of profit on sale					
Dr Profit on sale		50,000			
Cr Fixed assets			10,000		
Cr Accumulated depreciation			40,000		
CJE2: Adjustment for tax effects					
Dr Deferred tax asset		10,000			
Cr Tax expense			10,000		
CJE3: Correction of excess depreciation					
Dr Accumulated depreciation		5,000			
Cr Depreciation			5,000		
CJE4: Tax effects of correction of excess depreciation					
Dr Tax expense		1,000			
Cr Deferred tax liability			1,000		
CJE5: Allocation of income to NCI					
Dr Income to non-controlling interests		179,080	37%*484000		
Cr Non-controlling interests			179,080		
Allocation of current profit after tax to non-controlling interests.					
Profit after tax of B		520,000			
Unrealized profit (after-tax)		-36,000	50000*9/10*80%		
Adjusted profit after tax of B		484,000			
Total non-controlling interests		37%			
Consolidation adjustments (20x1):					
CJE1: Reinstatement of previous year's adjustment					
Dr Opening retained earnings		31,500	63%*50000		
Dr Non-controlling interests		18,500	37%*50000		
Cr Fixed assets			10,000		
Cr Accumulated depreciation			40,000		
CJE2: Reinstatement of tax on profit adjustment					
Dr Deferred tax asset		10,000			
Cr Opening retained earnings			6,300		
Cr Non-controlling interests			3,700		
CJE3: Current and past depreciation					
Dr Accumulated depreciation		10,000			
Cr Depreciation			5,000		
Cr Opening retained earnings			3,150	63%*5000	
Cr Non-controlling interests			1,850	37%*5000	

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CJE4: Tax on current and past depreciation					
Dr Opening retained earnings		630	63%*1000		
Dr Non-controlling interests		370	37%*1000		
Dr Tax expense		1,000			
Cr Deferred tax asset			2,000		
CJE5: Allocation of current income to NCI					
Dr Income to non-controlling interests		149,480	37%*404000		
Cr Non-controlling interests			149,480		
Allocation of current profit after tax to non-controlling interests.					
Profit after tax of B		400,000			
Realisation through excess depreciation		4,000	5000*80%		
Adjusted profit after tax of B		404,000			
Total non-controlling interests		37%			

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(1) In separate financial statements of P:					
1 July 20x0	Dr Investment in S		5,000,000		
	Cr Cash			5,000,000	
	Purchase of first block.				
31 Dec 20x0	Dr Investment in S		7,000,000		
	Cr Cash			7,000,000	
	Purchase of second block.				
IAS 27 Separate Financial Statements does not require the remeasurement of previously held interests					
in the separate financial statements. Hence, remeasurement gains will be recognized only in the					
consolidated financial statements.					
(2) In consolidated financial statements					
EA1: Equity accounting of S profits 1 July to 31 Dec 20x0					
Dr Investment in S		720,000	30%*2400000		
Dr Share of tax		180,000	30%*600000		
Cr Share of profit before tax			900,000	30%*3000000	
EA2: Reclassification of dividend income					
Dr Dividend income		120,000	30%*400000		
Cr Investment in S			120,000		
EA3: Remeasurement loss on previously held interests					
Dr Remeasurement loss		350,000			
Cr Investment in S			350,000		
Fair value of previously held interests			5,250,000	30%*17500000	
Carrying amount of previously held interests			5,600,000	5000000+720000-120000	
Remeasurement loss			-350,000		
CJE1: Elimination of investment in S at 31 Dec 20x0					
Dr Share capital		10,000,000			
Dr Retained earniings		5,000,000			
Dr Goodwill		2,500,000			
Cr Investment			12,250,000	5250000+7000000	
Cr Non-controlling interests			5,250,000		
		17,500,000	17,500,000		
Goodwill = Fair value of consideration transferred + Acquisition-date fair value					
of previously-held interests + Fair value of NCI - Fair value of identifiable net					
assets of acquiree					
=7000000+5250000+5250000-15000000					
=2500000					

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Problem 7.11

Scenario: P Co increases ownership interest in X Co from 60% to 75%

No gain or loss of control:

1.New goodwill	2a. P&L: Re-measurement gain or loss	2b. P&L: Profit / (loss) on sale of investment
No change to the original amount of goodwill as at original acquisition date, 1 January 2010.	NIL, as there is no change in control.	NIL

3a. Equity effects: Profit or loss arising from changes in ownership		3b. Equity effects: Changes in non-controlling interests
Incremental purchase price (15% interest)	4,500,000	NCI is reduced by 2,812,500 (7,500,000 x 15%/40%)
Incremental (15%) interests' share of equity as at 1 July 2011 (7,500,000 x 15%/40%)	- 2,812,500	
Loss on purchase (equity)	1,687,500	

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Problem 7.12

Scenario: P Co decreases ownership interest in X Co from 95% to 70%

No gain or loss of control:

1. New goodwill	2a. P&L: Re-measurement gain or loss	2b. P&L: Profit / (loss) on sale of investment
No change to the original amount of goodwill as at original acquisition date, 1 December 2010.	NIL, as there is no change in control.	NIL, the gain on sale is taken directly to equity.

3a. Equity effects: Profit or loss arising from changes in ownership		3b. Equity effects: Changes in non-controlling interests
Sales proceeds of 25% interest	12,800,000	NCI is increased by 7,184,210.50 (27,300,000 x 25%/95%)
25% interests' share of equity as at 31 Dec 2011 (27,300,000 x 25%/95%)	- 7,184,210.50	
Gain (equity)	5,615,789.50	

	Group	Separate legal entity
Sales proceeds	12,800,000	12,800,000
Investment	(7,184,211)**	(7,631,578) 29,000,000 x 25/95*
Gain on sale	5,615,789	5,168,422
Difference	447,367***	

* Share of original cost
** Share of original cost + post-acquisition changes in equity
*** Difference is the change in post-acquisition losses that have been consolidated

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Problem 7.13

Scenario: P Co increases ownership interest in X Co from 40% to 60%

Gain of control:

1. New goodwill	2a. P&L: Re-measurement gain or loss	2b. P&L on sale of investment
FV of consideration transferred for 20% interests 4,100,000 FV of previously acquired interests (40%) 6,500,000 FV of NCI (40%) 6,500,000 FV of identifiable net assets - 15,000,000 DTL on FV-BV [(15m – 13m) x 20%] 400,000 ---------- Goodwill 2,500,000	FV of previously acquired interests (40%) 6,500,000 Original cost of previously acquired interests (40%) - 5,200,000 P's share (40%) of post-acquisition change in equity from 1 Jan 09 to 1 April 2011 - 900,000 ---------- Re-measurement gain 400,000	NIL

3a. Equity effects: Profit or loss arising from changes in ownership	3b. Equity effects: Changes in non-controlling interests
NIL	NCI is increased by 6,500,000 (based on FV of NCI)

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Problem 7.14

Scenario: P Co decreases ownership interest in X Co from 80% to 50%

Loss of control:

1. New goodwill	2a. P&L: Re-measurement gain or loss	2b. P&L: Profit / (loss) on sale of investment
NIL (De-recognized)	FV of retained interests (50%) 11,800,000 Original cost of investment (50%) - 10,000,000 50% interests' share of post-acquisition change in equity from 1 Jan 09 to 1 Sept 2011 (2.3m x 50%/80%) - 1,437,500 ---------- Re-measurement gain 362,500	Sales proceeds (30% interest) 9,000,000 Original cost of investment (30%) (16m – 10m) - 6,000,000 30% interests' share of post-acquisition change in equity from 1 Jan 09 to to 1 Sept 2011 (2.3m x 30%/80%) - 862,500 ---------- Profit on sale 2,137,500

3a. Equity effects: Profit or loss arising from changes in ownership	3b. Equity effects: Changes in non-controlling interests
NIL	NIL (De-recognized)

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CJE1: Elimination of investment in X Co and Y Co							
Dr Share capital (X Co)			1,200,000				
Dr Share capital (Y Co)			350,000				
Dr Retained earnings (X Co)			700,000				
Dr Retained earnings (Y Co)			600,000				
Dr Revaluation reserve (Y Co)			95,000				
Dr Deferred tax asset			12,000				
Dr Goodwill			3,992,800				
Cr Provision for claim				60,000			
Cr Investment in X Co				5,000,000	(4375000/70%*80%)		
Cr Investment in Y Co				900,000			
Cr Non-controlling interests in X Co				626,300			
Cr Non-controlling interests in Y Co				363,500			
			6,949,800	6,949,800			
Goodwill in sub-group							
Fair value of INA of subgroup at 1 Jan 20x1							
Share capital (X Co)				1,200,000			
Retained earnings (X Co)				700,000			
Book value of X Co					1,900,000		
Less X Co's investment in Y Co					(900,000)		
Under-valued provision for claims					(60,000)		
Deferred tax asset					12,000		
Fair value of INA of X Co					952,000		
Share capital (Y Co)				350,000			
Retained earnings (Y Co)				600,000			
Revaluation reserve (Y Co)				95,000			
Fair value of INA of Y Co					1,045,000		
X Co's consolidated equity or net assets					1,997,000		
Fair value of consideration transferred				5,000,000			
Fair value of non-controlling interests (X Co)				626,300			
Fair value of non-controlling interests (Y Co)				363,500			
Less fair value of INA of subgroup				(1,997,000)	(see workings above)		
Goodwill				3,992,800			
					Original	Divested	
P Co's share of goodwill					80%	10%	
Fair value of consideration transferred					5,000,000	625,000	10/80*5000000
Less share of fair value of INA of sub-group							
	Share of X Co's FV of INA		761,600			95,200	
	Share of Y Co's FV of INA		585,200		1,346,800	73,150	
Goodwill					3,653,200	456,650	10/80*3653200
				Total	20%		
X Co's shareholders' equity as at 1 January 20x1				1,900,000			
Less investment in X Co				(900,000)			
Share of undervalued provision for claim, after-tax				(48,000)			
X Co's share of Y Co's shareholders'equity as at 1 January 20x1				731,500			
X Co's consolidated equity as at 1 January 20x1				1,683,500	336,700		
X Co's NCI's goodwill					289,600		
X Co's NCI					626,300		
				Total	30%		
Y Co's shareholder's equity as at 1 January 20x1				1,045,000	313,500		
Share capital			350,000				
Retained earnings			600,000				
Revaluation reserves			95,000				
			1,045,000				
Y Co's undervaluation of identifiable net assets					0		
Goodwill					50,000		
NCI of Y Co					363,500		
Total Goodwill					3,992,800	0	
CJE2: Effects of the decrease in investment in X Co and Y Co							
Dr Investment			625,000				
Dr ORE (Gain on sale in legal entity reversed)			375,000				
Cr Capital Reserve (Gain on Divestment)				297,560			
Cr Non-controlling interests				702,440			
			1,000,000	1,000,000			
P's share of equity of the sub-group as at 31 Dec 20x2							
P's share of post-acquisition RE of X Co				436,000	80%*(1245000-700000)		
P's share of post-acquisition RE of Y Co				168,000	80%*70%*(900000-600000)		
P's share of past expensing of claims of X Co				25,600	80%*80%*(200000-160000)		
P's share of unrealized profit of Y Co				(10,080)	80%*70%*80%*75%*30000		
P's share of sub-group's post-acquisition RE				619,520			

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10% of initial investment in X Co				625,000			
10% of P's share of post-acq change in equity				77,440	10/80*619520		
10% of equity in X Co transferred to NCI				702,440			
Workings:				Parent's PL	Group equity		
Sales proceeds				1,000,000	1,000,000		
Investment in S Co				(625,000)	(702,440)		
Loss				375,000	297,560		
Analytical check of NCI on 31 Dec 20x2 (after re-allocation of 10% to NCI)							
CJE1: Elimination of investment in X Co and Y Co				989,800			
CJE2: Effects of the decrease in investment in X Co and Y Co				702,440			
CJE3: Settlement of undervalued provision for claims				8,000			
CJE4: Tax effects of CJE3				(1,600)			
CJE5: Allocate share of post-acq RE of X Co to NCI of X Co				109,000			
CJE8: Adjustment for upstream sale of inventory from Y Co to P Co				(9,900)			
CJE9: Tax effects on CJE8				1,980			
CJE10: Allocation of post-acquisition RE to total NCI of Y Co				132,000			
				1,931,720			
Book value of net assets of X Co on 31 Dec 20x2				2,445,000	1200000+1245000		
Less Provision for claims, after tax				(16,000)	80%*(220000-200000)		
Less investment in Y Co				(900,000)			
				1,529,000			
NCI's share of X Co (30%)				458,700	30%*1529000		
Book value of net assets of Y Co on 31 Dec 20x2				1,345,000	350000+900000+95000		
Less unrealized profit on 31 Dec 20x2 (Y to P)				(18,000)	75%*80%*30000		
				1,327,000			
NCI's share of Y Co (30%+(30%*70%))				676,770	51%*1327000		
NCI's goodwill at acquisition				339,600	289600+50000		
P Co's goodwill transferred to NCI				456,650	10/80*3653200		
				796,250			
NCI balance as at 31 Dec 20x2				1,931,720	0		
CJE3: Settlement of undervalued provision for claims							
Dr Provision for claims			40,000				
Cr Opening RE				32,000			
Cr Non-controlling interests				8,000			
CJE4: Tax effects of CJE3							
Dr Opening RE			6,400				
Dr Non-controlling interests			1,600				
Cr Deferred tax asset				8,000			
CJE5: Allocate share of post-acq RE of X Co to NCI of X Co							
Dr Opening RE			109,000				
Cr NCI (BS)				109,000			
RE at 1 Jan 20x3 (date of divestment of 10%)				1,245,000			
RE at date of acquisition				700,000			
Change in RE				545,000			
NCI's share		20%		109,000	20%*545000		
CJE6: Eliminate dividends declared by X Co							
Dr Dividend income			161,000				
Dr Non-controlling interests			69,000	30%*230000			
Cr Dividend declared				230,000			
CJE7: Allocate share of current income of X Co to NCI of X Co							
Dr Income to NCI			499,860	30%*1666200			
Cr NCI (BS)				499,860			
NPAT of X Co				1,760,000			
Less dividend received from Y Co				(93,800)			
Adjusted NPAT				1,666,200			
CJE8: Adjustment for upstream sale of inventory from Y Co to P Co							
Dr Opening RE			12,600	30000*75%*56%			
Dr Non-controlling interests			9,900	30000*75%*44%			
Cr Cost of sales		(P's PL)		19,500	30000*65%		
Cr Inventory				3,000	30000*10%		
Direct NCI					30%	6,750	
Indirect NCI		(before divestment)			14%	3,150	
Total NCI					44%	9,900	
CJE9: Tax effects on CJE8							
Dr Tax expense			3,900				
Dr Deferred tax asset			600				
Cr Opening RE				2,520			
Cr Non-controlling interests				1,980			
Direct NCI					30%	1,350	
Indirect NCI		(before divestment)			14%	630	
Total NCI					44%	1,980	
CJE10: Allocation of post-acquisition RE to total NCI of Y Co							
Dr Opening RE			132,000				
Cr Non-controlling interests				132,000			
Retained earnings at 1 Jan 20x3		(divestment of 10%)				900,000	
Retained earnings at 1 Jan 20x1						600,000	

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Change in retained earnings					300,000	
Direct NCI				30%	90,000	
Indirect NCI	(before divestment)			14%	42,000	
Total NCI				44%	132,000	
CJE11: Allocation of current profit after tax to total NCI of Y Co						
Dr Income to NCI		313,956				
Cr Non-controlling Interests			313,956			
Net profit after tax of Y Co					600,000	
Add realized profit from upstream sale of inventory, after tax					15,600	65%*80%*30000
Adjusted NPAT					615,600	
Direct NCI				30%	184,680	
Indirect NCI	(after divestment of 10%)			21%	129,276	
Total NCI				51%	313,956	
CJE12: Elimination of dividends declared by Y Co						
Dr Dividend income		93,800	70%*134000			
Dr Non-controlling interests		40,200	30%*134000			
Cr Dividend declared			134,000			
CJE13: Allocation of post-acq revaluation reserves to total NCI of Y Co						
Dr Share of Revaluation reserves to NCI		12,750				
Cr Non-controlling interests			12,750			
Revaluation reserves at 31 Dec 20x3					120,000	
Revaluation reserves at 1 Jan 20x3 (same as 1 Jan 20x1)					95,000	
Change in revaluation reserves					25,000	
Direct NCI				30%	7,500	
Indirect NCI				21%	5,250	
Total NCI				51%	12,750	
CJE14: Eliminate intercompany payable and receivable						
Dr Intercompany payable		100,000				
Cr Intercompany receivable			100,000			
EA1: Recognize share of post-acq RE of Z						
Dr Investment in Z			61,500			
Cr Opening RE				61,500		
RE of Z as at 1 Jan 20x3					550,000	
RE of Z as at date of acquisition					345,000	
Change in RE					205,000	
Share of P's change in RE					61,500	
EA2: Reclassify dividend income as a reduction of investment						
Dr Dividend income			21,000			
Cr Investment in Z				21,000		
EA3: Amortisation of undervalued intangible						
Dr Opening RE			9,600	100000/5*2*80%*30%		
Cr Investment in Z				9,600		
EA4: Adjustment for unrealised profit in transfer of equipment						
Dr Opening RE			9,000			
Cr Investment in Z				9,000	40000*7.5/8*80%*30%	
EA5: Recognize share of current profit after tax of Z						
Dr Investment in Z			206,976			
Cr Share of profit of Z				206,976		
Workings:						
NPBT					856,000	
Less amortisation of FV-BV of intangible					(20,000)	120000/5
Add back realised profit on depreciation of fixed assets					5,000	40000/8
Adjusted NPBT of Z					841,000	
Share of adjusted NPBT of Z					252,300	
Tax expense of Z					154,080	
Less tax on amortisation of FV-BV of intangible					(4,000)	
Add tax on realization through depreciation					1,000	
Adjusted tax expense of Z					151,080	
Share of adjusted tax expense of Z					45,324	

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Income Statement and partial Statement of Changes in Equity for year ended 31 December 20x3									
				P Co	**X Co**	**Z Co**	**Y Co**	**Consolidated**	
Profit before tax				3,200,000	2,200,000	856,000	750,000	6,100,676	Note 1
Tax				(640,000)	(440,000)	(154,080)	(150,000)	(1,233,900)	Note 2
Profit after tax				2,560,000	1,760,000	701,920	600,000	4,866,776	
Income to NCI								(813,816)	Note 3
Dividends declared				(500,000)	(230,000)	(70,000)	(134,000)	(500,000)	
Profit retained				2,060,000	1,530,000	631,920	466,000	3,552,960	
Retained earnings, 1 Jan 20x3				2,560,000	1,245,000	550,000	900,000	2,847,420	Note 4
Retained earnings, 31 Dec 20x3				4,620,000	2,775,000	1,181,920	1,366,000	6,400,380	AC
Statement of Financial Position as at 31 December 20x3				**P Co**	**X Co**	**Z Co**	**Y Co**	**Consolidated**	
Goodwill								3,992,800	CJE1
Fixed assets, net book value				2,190,000	1,345,900	880,000	1,345,000	4,880,900	
Investment in X Co				4,375,000					
Investment in Z Co				1,500,000				1,728,876	AC
Investment in Y Co					900,000				
Inventory				430,000	532,000	250,000	660,000	1,619,000	Note 5
Intercompany receivable					100,000				
Other net assets				920,000	1,967,000	1,800,000	1,632,000	4,523,600	Note 6
Cash				145,900	50,000	40,000	10,000	205,900	
				9,560,900	4,894,900	2,970,000	3,647,000	16,951,076	
Accounts payable				3,240,900	919,900	888,080	1,811,000	5,971,800	
Provision for claims								20,000	
Intercompany payable				100,000					
Share capital				1,600,000	1,200,000	900,000	350,000	1,600,000	
Retained earnings				4,620,000	2,775,000	1,181,920	1,366,000	6,400,380	
Revaluation reserves							120,000	12,250	
Capital reserve								297,560	
Non-controlling interests								2,649,086	AC
				9,560,900	4,894,900	2,970,000	3,647,000	16,951,076	
Note 1:	Combined P and subsidiaries			6,150,000				-	
	Add realized profit from transfer			19,500	65%*30000				
	Less dividend income		from X Co	(161,000)					
			from Y Co	(93,800)					
			from Z Co	(21,000)					
	Add share of profit of associate			206,976					
	Consolidated profit before tax			6,100,676					
Note 2:	Combined P and subsidiaries			(1,230,000)					
	Add tax on realized profit from transfer			(3,900)	20%*19500				
	Consolidated tax expense			(1,233,900)					
Note 3:	Income to NCI of X			499,860					
	Income to NCI of Y			313,956					
	Income to NCI			813,816					
Note 4:	P's RE at 1 Jan 20x3			2,560,000					
	P's share of X's post-acquisition RE			381,500	70%*(1245000-700000)				
	P's share of Y's post-acquisition RE			147,000	70%*70%*(900000-600000)				
	P's share of Z's post-acquisition RE			61,500	30%*(550000-345000)				
	P"s share of past expensing of claims			22,400	70%*80%*40000				
	P's share of past amortization of intangible assets			(9,600)	30%*80%*100000*2/5				
	P's share of unrealized profit in inventory, 1 Jan			(8,820)	49%*75%*80%*30000				
	P's share of unrealized profit in fixed assets, 1 Jan			(9,000)	30%*80%*40000*7.5/8				
	Gain on sale taken to capital reserve, 1 Jan			(297,560)	Plug CJE2				
	Consolidated RE at 1 Jan 20x3			2,847,420	-				
Note 5:	Reduced by unrealized profit in ending inventory			3,000					
Note 6:	Increased by deferred tax asset on unrealised profit			600					
	and deferred tax asset on provision for claims			4,000					

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Analytical check of Non-controlling interests							
Total Non-controlling interests as at 31 December 20x3							
		Total NCI	NCI of X Co and indirect NCI of Y Co	Direct NCI of Y Co			
CJE1: Elimination of investment in X Co and Y Co		989,800	626,300	363,500			
CJE2: Effects of the decrease in investment in X Co and Y Co		702,440	702,440				
CJE3: Settlement of undervalued provision for claims		8,000	8,000				
CJE4: Tax effects of CJE3		(1,600)	(1,600)				
CJE5: Allocate share of post-acq RE of X Co to NCI of X Co		109,000	109,000				
CJE6: Eliminate dividends declared by X Co		(69,000)	(69,000)				
CJE7: Allocate share of current income of X Co to NCI of X Co		499,860	499,860				
CJE8: Adjustment for upstream sale of inventory from Y Co to P Co		(9,900)	(3,150)	(6,750)			
CJE9: Tax effects on CJE8		1,980	630	1,350			
CJE10: Allocation of post-acquisition RE to total NCI of Y Co		132,000	42,000	90,000			
CJE11: Allocation of current profit after tax to total NCI of Y Co		313,956	129,276	184,680			
CJE12: Elimination of dividends declared by Y Co		(40,200)		(40,200)			
CJE13: Allocation of post-acq revaluation reserves to total NCI of Y Co		12,750	5,250	7,500			
		2,649,086	2,049,006	600,080			
Analytical check on non-controlling interests of X Co							
X Co's shareholders' equity as at 31 December 20x3				3,975,000	1200000+2775000		
Less Provision for claims, after tax				(16,000)	80%*(220000-200000)		
Less investment in Y Co				(900,000)			
				3,059,000			
NCI's share of book value of equity as at 31 Dec 20x3				917,700	30%*3059000		
NCI of X Co's goodwill as at 31 Dec 20x3				746,250			
NCI of X Co and indirect NCI of Y Co				1,663,950			
Analytical check of NCI of Y Co				Indirect NCI	Direct NCI		
Y Co's shareholders' equity as at 31 December 20x3	1,836,000	350000+1366000+120000					
Less unrealized profit in inventory (Y to P)	(2,400)	80%*10%*30000					
Adjusted shareholders' equity	1,833,600						
Y Co's total NCI share of equity as at 31 December 20x3	935,136	51%*1833600		385056	550080		
Goodwill attributable to Y Co's NCI	50,000				50,000		
Total NCI of Y Co as at 31 December 20x3	985,136			385056	600,080		
Total NCI	2,649,086	0		2,049,006	600,080		
				0	0		
Analytical check of Investment in Z:							
Book value of shareholders' equity of Z			2,081,920				
Add unamortised intangible asset, after tax			32,000	100000*2/5*80%			
Less unrealized profit of fixed assets at year end			(26,000)	40000*6.5/8*80%			
			2,087,920				
P's share of Z's identifiable net assets			626,376				
Implicit goodwill in investment in Z:							
Investment in Z			1,500,000				
BV of net assets of Z at acq		1,245,000					
Unrecognized intangible, after-tax		80,000					
FV of net assets of Z at acq		1,325,000					
Less Share of FV of net assets of Z at acq			397,500				
Goodwill in Z implicit in the investment in Z			1,102,500				
			1,728,876				
Investment in Z, at cost			1,500,000				
EA1: Recognize share of post-acq RE of Z			61,500				
EA2: Reclassify dividend income as a reduction of investment			(21,000)				
EA3: Amortisation of undervalued intangible			(9,600)				
EA4: Adjustment for unrealised profit in transfer of equipment			(9,000)				
EA5: Recognize share of current profit after tax of Z			206,976				
Investment in Z as at 31 Dec 20x6			1,728,876		-		
Analytical check of closing retained earnings							
P's RE	4,620,000						
X's RE	2,775,000						
Y's RE	1,366,000						
CJE1: Elimination of investment in X Co and Y Co	(1,300,000)	700000+600000					
CJE2: Effects of the decrease in investment in X Co and Y Co	(375,000)						
CJE3: Settlement of undervalued provision for claims	32,000						
CJE4: Tax effects of CJE3	(6,400)						
CJE5: Allocate share of post-acq RE of X Co to NCI of X Co	(109,000)						
CJE6: Eliminate dividends declared by X Co	69,000						
CJE7: Allocate share of current income of X Co to NCI of X Co	(499,860)						
CJE8: Adjustment for upstream sale of inventory from Y Co to P Co	6,900	19500-12600					
CJE9: Tax effects on CJE8	(1,380)	2520-3900					
CJE10: Allocation of post-acquisition RE to total NCI of Y Co	(132,000)						
CJE11: Allocation of current profit after tax to total NCI of Y Co	(313,956)						
CJE12: Elimination of dividends declared by Y Co	40,200						
EA1: Recognize share of post-acq RE of Z	61,500						
EA2: Reclassify dividend income as a reduction of investment	(21,000)						
EA3: Amortisation of undervalued intangible	(9,600)						
EA4: Adjustment for unrealised profit in transfer of equipment	(9,000)						
EA5: Recognize share of current profit after tax of Z	206,976						

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Consolidated RE at 31 Dec 20x3			6,400,380					
Analytical check								
P's RE			4,620,000					
P's share of post-acquisition RE of X Co			1,452,500	70%*(2775000-700000)				
P's share of post-acquisition RE of Y Co			375,340	70%*70%*(1366000-600000)				
P's share of post-acquisition RE of Z Co			251,076	30%*(1181920-345000)				
P's share of past expensing of claims of X Co			22,400	70%*80%*40000				
P's share of amortization of intangible asset of Z Co			(14,400)	30%*100000*80%*3/5				
P's share of unrealized profit of Y Co (inventory)			(1,176)	70%*70%*80%*10%*30000				
P's share of unrealized profit of Y Co (sale to Z)			(7,800)	30%*80%*40000*6.5/8				
Gain on sale taken to capital reserve			(297,560)	Plug CJE2				
Consolidated RE at 31 Dec 20x3			6,400,380		-			

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CJE1: Elimination of investment in B Co and C Co					
Dr Share capital (B Co)	1,500,000				
Dr Share capital (C Co)	420,000				
Dr Retained earnings (B Co)	650,000				
Dr Retained earnings (C Co)	180,000				
Dr Revaluation reserve (C Co)	70,000				
Dr Inventory (C Co)	50,000				
Dr Deferred tax asset	6,000				
Dr Goodwill	1,304,000				
Cr Accounts receivable		80,000			
Cr Investment in B Co		2,500,000			
Cr Investment in C Co		800,000			
Cr Non-controlling interests in B Co		250,000			
Cr Non-controlling interests in C Co		550,000			
	4,180,000	4,180,000			
Goodwill in sub-group					
Fair value of INA of subgroup at 1 Aug 20x4					
Share capital (B Co)		1,500,000			
Retained earnings (B Co)		650,000			
Book value of B Co			2,150,000		
Less B Co's investment in C Co			(800,000)		
Less provision for AR			(80,000)		
Deferred tax asset			16,000		
Fair value of INA of B Co			1,286,000		
Share capital (C Co)		420,000			
Retained earnings (C Co)		180,000			
Revaluation reserve (C Co)		70,000			
Add undervalued inventory		50,000			
Deferred tax liability		(10,000)			
Fair value of INA of C Co			710,000		
FV of B Co's consolidated net assets			1,996,000		
Fair value of consideration transferred		2,500,000			
Fair value of non-controlling interests (B Co)		250,000			
Fair value of non-controlling interests (C Co)		550,000			
Less fair value of INA of subgroup		(1,996,000)	(see workings above)		
Goodwill			1,304,000		
P Co's goodwill			90%		
Fair value of consideration transferred			2,500,000		
Less share of fair value of INA of sub-group			(1,540,800)	(90%*1286000)+(90%*60%*710000)	
Goodwill attributable to P Co			959,200		
		Total			
B Co's NCI			250,000		
Less fair value of INA of sub-group			(171,200)	(10%*1286000)+(10%*60%*710000)	
B Co's NCI's goodwill			78,800		
C Co's NCI			550,000		
Less Share of C Co's FV of INA			(284,000)	40%*710000	
C Co's NCI's goodwill			266,000		
Total Goodwill			1,304,000	0	
CJE2: Loss of control of D Co					
Dr Investment		650,000			
Cr ORE			650,000	1800000-1150000	
Workings:					
			Group	Legal	
Sales proceeds on sale of 20%			900,000	900,000	
20/60 of initial investment in D Co			(575,000)	(575,000)	1725000*20/60
20/60 x P Co's share of post-acquisition change in equity of D Co			(176,667)		
Profit recognized on 1 Jan 20x5			148,333	325,000	
			Group	Legal	
Fair value of retained interests			1,800,000		
40/60 of iniitial investment in D Co			(1,150,000)		
40/60 x P Co's share of post-acquisition change in equity of D Co			(353,333)		
Re-measurement gain			296,667	0	
During 20x5, the following entry was passed					
Dr Investment		650,000	1800000-1150000		
Dr Profit on sale		176,667	148333-325000		
Cr ORE			530,000		

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Cr Remeasurement gain				296,667	Above	
CJE3: Impairment loss on AR						
Dr Provision for impairment loss		80,000				
Cr Impairment loss			80,000			
CJE4: Tax effects of CJE3						
Dr Tax expense		16,000				
Cr Deferred tax asset			16,000			
CJE5: Allocate share of post-acq RE of B Co to NCI of B Co						
Dr Opening RE		80,600				
Cr NCI (BS)			80,600			
RE at 1 Jan 20x6			1,456,000			
RE at date of acquisition			650,000			
Change in RE			806,000			
NCI's share			80,600	10%*806000		
CJE6: Eliminate dividends declared by B Co						
Dr Dividend income		180,000				
Dr Non-controlling interests		20,000	10%*200000			
Cr Dividend declared			200,000			
CJE7: Allocate share of current income of B Co to NCI of B Co						
Dr Income to NCI		134,000				
Cr NCI (BS)			134,000			
NPAT of B Co			1,336,000			
Impairment loss written back, after tax			64,000			
Less dividend received from C Co			(60,000)			
Adjusted NPAT			1,340,000			
CJE8: Adjustment of interest capitalized (transfer from P to B)						
Dr ORE		15,000				
Dr Interest income		205,000				
Cr Interest expense			195,000			
Cr Fixed asset			25,000			
CJE9: Tax effects of CJE8						
Dr DTA		5,000				
Cr Tax expense			2,000			
Cr ORE			3,000			
CJE10: Elimination of post-construction interest						
Dr Interest income		150,000				
Cr Interest expense			150,000			
CJE11: Adjustment of excess depreciation on fixed assets						
Dr Accumulated depreciation		4,583	11/12*25000*1/5			
Cr Depreciation expense			4,583			
CJE12: Tax effects of CJE11						
Dr Tax expense		917				
Cr DTA			917			
CJE13: Adjustment of cost of sales of undervalued inventory						
Dr ORE		16,200	90%*60%*60%*50000			
Dr NCI		13,800	46%*60%*50000			
Cr Inventory			30,000			
CJE14: Tax effects of CJE13						
Dr DTL		6,000				
Cr ORE			3,240			
Cr NCI			2,760			
CJE15: Adjustment to current cost of sales of undervalued inventory						
Dr Cost of sales		15,000	30%*50000			
Cr Inventory			15,000			
CJE16: Tax effects of CJE15						
Dr DTL		3,000				
Cr Tax expense			3,000			
CJE17: Allocation of post-acquisition RE to total NCI of C Co						
Dr Opening RE		23,920				
Cr Non-controlling interests			23,920			
Retained earnings at 1 Jan 20x6					232,000	
Retained earnings at 1 Aug 20x4					180,000	
Change in retained earnings					52,000	
Direct NCI				40%	20,800	
Indirect NCI				6.00%	3,120	
Total NCI				46%	23,920	
CJE18: Allocation of current profit after tax to total NCI of C Co						
Dr Income to NCI		150,236				
Cr Non-controlling Interests			150,236			
Net profit after tax of C Co					338,600	
Less cost of sales of undervalued inventory, after tax					(12,000)	
Adjusted NPAT					326,600	
Direct NCI				40%	130,640	

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Indirect NCI					6%	19,596	
Total NCI					46%	150,236	
CJE19: Elimination of dividends declared by C Co							
Dr Dividend income			60,000	60%*100000			
Dr Non-controlling interests			40,000	40%*100000			
Cr Dividend declared				100,000			
CJE20: Allocation of post-acq revaluation reserves to total NCI of C Co							
Dr Share of Revaluation reserves to NCI			39,560				
Cr Non-controlling interests				39,560			
Revaluation reserves at 31 Dec 20x6						156,000	
Revaluation reserves at 1 Jan 20x6						70,000	
Change in revaluation reserves						86,000	
Direct NCI					40%	34,400	
Indirect NCI					6%	5,160	
Total NCI					46%	39,560	
CJE21: Eliminate intercompany payable and receivable							
Dr Intercompany payable			1,700,000				
Cr Intercompany receivable				1,700,000			
EA1: Recognize share of post-acq RE of D Co							
Dr Investment in D Co				400,000			
Cr ORE					400,000		
RE of Z as at 1 Jan 20x6						1,400,000	
RE of Z as at date of acquisition						400,000	
Change in RE						1,000,000	
Share of B's change in RE						400,000	
EA2: Reclassify dividend income as a reduction of investment							
Dr Dividend income				60,000			
Cr Investment in D Co					60,000		
EA3: Unrealized loss in transfer of inventory							
Dr Investment in D Co				2400	40%*75%*80%*(80000-70000)		
Cr Opening RE					2,400		
EA4: Share of profit of associate							
Dr Investment in D Co				189,920			
Cr Share of profit of associate					189,920		
Workings:							
NPAT						480,000	
Less realized loss on inventory transfer						(5,200)	80%*65%*10000
Adjusted NPAT of D						474,800	
Share of adjusted NPAT of D						189,920.00	

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Profit and Loss Statement for year ended 31 December 20x6								
				P Co	**B Co**	**D Co**	**C Co**	**Consolidated**	
Profit before tax				5,800,000	1,670,000	600,000	420,000	7,839,503	Note 1
Tax				(1,160,000)	(334,000)	(120,000)	(81,400)	(1,587,317)	Note 2
Profit after tax				4,640,000	1,336,000	480,000	338,600	6,252,187	
Income to NCI								(284,236)	Note 3
Dividends declared				(320,000)	(200,000)	(150,000)	(100,000)	(320,000)	
Profit retained				4,320,000	1,136,000	330,000	238,600	5,647,951	
Retained earnings, 1 Jan 20x6				2,000,000	1,456,000	1,400,000	232,000	3,780,920	Note 4
Retained earnings, 31 Dec 20x6				6,320,000	2,592,000	1,730,000	470,600	9,428,871	AC
Balance sheet as at 31 December 20x6				**P Co**	**B Co**	**D Co**	**C Co**	**Consolidated**	
Goodwill								1,304,000	CJE1
Fixed assets, net book value				4,490,000	3,340,000	2,540,000	761,000	8,570,583	Note 5
Investment in B Co				2,500,000					
Investment in D Co				1,150,000				2,332,320	AC
Investment in C Co					800,000				
Inventory				600,000	520,000	448,500	348,900	1,473,900	Note 6
Intercompany receivable				1,700,000					
Other net assets (including deferred tax)				1,125,800	1,880,000	1,973,000	557,200	3,566,083	Note 7
Cash				747,000	256,000	189,000	56,000	1,059,000	
				12,312,800	6,796,000	5,150,500	1,723,100	18,305,887	
Accounts payable				2,492,800	1,004,000	2,520,500	676,500	4,173,300	
Bank loans				1,500,000				1,500,000	
Intercompany payable					1,700,000				
Share capital				2,000,000	1,500,000	900,000	420,000	2,000,000	
Retained earnings				6,320,000	2,592,000	1,730,000	470,600	9,428,871	
Revaluation reserves							156,000	46,440	
Non-controlling interests								1,157,276	AC
				12,312,800	6,796,000	5,150,500	1,723,100	18,305,887	
Note 1:	Combined P and subsidiaries			7,890,000				-	
	Impairment reversals of B			80,000					
	Current FV adjustment of C			(15,000)	30%*50000				
	Adjustment for capitalized interest (P to B)			(5,417)	(-10000+(25000/5*11/12))				
	Less dividend income		from B Co	(180,000)	90%*200000				
			from C Co	(60,000)	60%*100000				
			from D Co	(60,000)	40%*150000				
	Add share of profit of associate			189,920					
	Consolidated profit before tax			7,839,503					
Note 2:	Combined P and subsidiaries			(1,575,400)					
	Tax on:								
	Impairment reversals of B			(16,000)					
	Current FV adjustment of C			3,000					
	Adjustment for capitalized interest (P to B)			1,083					
				(1,587,317)					
Note 3:	Income to NCI of B			134,000					
	Income to NCI of C			150,236					
				284,236					
Note 4:	P's RE at 1 Jan 20x6			2,000,000					
	P's share of B's post-acquisition RE			725,400	90%*(1456000-650000)				
	P's share of C's post-acquisition RE			28,080	90%*60%*(232000-180000)				
	P's share of D's post-acquisition RE			400,000	40%*(1400000-400000)				
	P's share of adjustments for FV-BV of C			(12,960)	54%*80%*60%*50000				
	P's share of capitalized interest, 1 Jan (P to B)			(12,000)	80%*(120000-105000)				
	P's share of unrealized loss in inventory, 1 Jan (D to			2,400	40%*75%*80%*(80000-70000)				
	Remeasurement gain on loss of control of D Co			650,000.00					
				3,780,920	-				
Note 5:	4490000+3340000+761000-(25000*49/60)								
Note 6:	600000+520000+348900+(10%*50000)								
Note 7:	1125800+1880000+557200+(20%*25000*49/60)								

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Analytical check of Non-controlling interests							
Total Non-controlling interests as at 31 December 20x6							
				Total NCI	NCI of B Co and indirect NCI of C Co	Direct NCI of C Co	
CJE1: Elimination of investment in B Co and C Co				800,000	250,000	550,000	
CJE5: Allocate share of post-acq RE of B Co to NCI of B Co				80,600	80,600		
CJE6: Eliminate dividends declared by B Co				(20,000)	(20,000)		
CJE7: Allocate share of current income of B Co to NCI of B Co				134,000	134,000		
CJE13: Adjustment of cost of sales of undervalued inventory				(13,800)	(1,800)	(12,000)	
CJE14: Tax effects of CJE13				2,760	360	2,400	
CJE17: Allocation of post-acquisition RE to total NCI of C Co				23,920	3,120	20,800	
CJE18: Allocation of current profit after tax to total NCI of C Co				150,236	19,596	130,640	
CJE19: Elimination of dividends declared by C Co				(40,000)		(40,000)	
CJE20: Allocation of post-acq revaluation reserves to total NCI of C Co				39,560	5,160	34,400	
				1,157,276	471,036	686,240	
Analytical check on non-controlling interests of B Co							
B Co's shareholders' equity as at 31 December 20x6						4,092,000	1500000+2592000
Less investment in C Co						(800,000)	
						3,292,000	
NCI's share of book value of equity of B as at 31 Dec 20x6						329,200	10%*3292000
NCI's share of equity of C as at 31 Dec 20x6							
NCI of B Co's goodwill as at 31 Dec 20x6						78,800	
NCI of B Co and indirect NCI of C Co						408,000	
Analytical check of NCI of C Co						Indirect NCI	Direct NCI
C Co's shareholders' equity as at 31 December 20x6			1,046,600	420000+470600+156000			
Remaining balance of undervalued inventory, after tax			4,000				
Adjusted shareholders' equity			1,050,600				
C Co's total NCI share of equity as at 31 December 20x6			483,276	46%*1050600		63036	420,240
Goodwill attributable to C Co's NCI			266,000				266,000
Total NCI of C Co as at 31 December 20x6			749,276			63036	686,240
Total NCI			1,157,276	0		471,036	686,240
						0	0
Analytical check of Investment in D Co:							
Book value of shareholders' equity of D					2,630,000	900000+1730000	
Add unrealized loss on inventory, after tax					800	10%*80%*10000	
					2,630,800		
P's share of Z's identifiable net assets					1,052,320	40%*2630800	
Implicit goodwill in Investment in D Co:							
Investment in D Co					1,800,000		
BV of net assets of D at acq				1,300,000			
FV-BV				0			
FV of net assets of D at acq				1,300,000			
Less Share of FV of net assets of D at acq					520,000		
Goodwill in Z implicit in the Investment in D Co					1,280,000		
					2,332,320		
Investment in D Co, at cost					1,150,000		
CJE2: Loss of control of D Co					650,000		
EA1: Recognize share of post-acq RE of D Co					400,000		
EA2: Reclassify dividend income as a reduction of investment					(60,000)		
EA3: Unrealized loss in transfer of inventory					2,400		
EA4: Share of profit of associate					189,920		
Investment in D Co as at 31 Dec 20x6					2,332,320		-
Analytical check of closing retained earnings							
P's RE			6,320,000				
B's RE			2,592,000				
C's RE			470,600				
CJE1: Elimination of investment in B Co and C Co			(830,000)	650000+180000			
CJE2: Loss of control of D Co			650,000				
CJE3: Impairment loss on AR			80,000				
CJE4: Tax effects of CJE3			(16,000)				
CJE5: Allocate share of post-acq RE of B Co to NCI of B Co			(80,600)				
CJE6: Eliminate dividends declared by B Co			20,000				
CJE7: Allocate share of current income of B Co to NCI of B Co			(134,000)				
CJE8: Adjustment of interest capitalized (transfer from P to B)			(25,000)				
CJE9: Tax effects of CJE8			5,000				
CJE11: Adjustment of excess depreciation on fixed assets			4,583				
CJE12: Tax effects of CJE11			(917)				
CJE13: Adjustment of cost of sales of undervalued inventory			(16,200)				
CJE14: Tax effects of CJE13			3,240				
CJE15: Adjustment to current cost of sales of undervalued inventc			(15,000)				
CJE16: Tax effects of CJE15			3,000				
CJE17: Allocation of post-acquisition RE to total NCI of C Co			(23,920)				
CJE18: Allocation of current profit after tax to total NCI of C Co			(150,236)				
CJE19: Elimination of dividends declared by C Co			40,000				
EA1: Recognize share of post-acq RE of D Co			400,000				

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EA2: Reclassify dividend income as a reduction of investment		(60,000)					
EA3: Unrealized loss in transfer of inventory		2,400					
EA4: Share of profit of associate		189,920					
Consolidated RE at 31 Dec 20x6		9,428,871					
Analytical check							
P's RE		6,320,000					
P's share of B Co's post-acquisition RE		1,747,800	90%*(2592000-650000)				
P's share of C Co's post-acquisition RE		156,924	54%*(470600-180000)				
P's share of D Co's post-acquisition RE		532,000	40%*(1730000-400000)				
P's share of reversal of expensing of overvalued AR of B Co		57,600	90%*80%*80000				
P's share of cost of sales of undervalued inventory of C Co		(19,440)	54%*80%*90%*50000				
P's share of unrealized profit from interest (P to B Co)		(16,333)	80%*25000*49/60				
P's share of unrealized loss from sale to D Co (P to D)		320	40%*80%*10%*10000				
P's remeasurement gain from loss of control		650,000					
Consolidated RE at 31 Dec 20x6		9,428,871		-			

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